

**JOCHU TECHNOLOGY CO., LTD. AND
SUBSIDIARIES
CONSOLIDATED FINANCIAL STATEMENTS AND
INDEPENDENT AUDITORS' REVIEW REPORT
SEPTEMBER 30, 2025 AND 2024**

For the convenience of readers and for information purpose only, the auditors' report and the accompanying financial statements have been translated into English from the original Chinese version prepared and used in the Republic of China. In the event of any discrepancy between the English version and the original Chinese version or any differences in the interpretation of the two versions, the Chinese-language auditors' report and financial statements shall prevail.

INDEPENDENT AUDITORS' REVIEW REPORT

To the Board of Directors and Shareholders of JOCHU TECHNOLOGY CO., LTD.

Introduction

We have reviewed the accompanying consolidated balance sheets of JOCHU TECHNOLOGY CO., LTD. and subsidiaries (the "Group") as at September 30, 2025 and 2024, and the related consolidated statements of comprehensive income for the three-month and nine-month periods then ended, as well as the consolidated statements of changes in equity and of cash flows for the nine-month periods then ended, and notes to the consolidated financial statements, including a summary of material accounting policies. Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Accounting Standard 34, "Interim Financial Reporting" that came into effect as endorsed by the Financial Supervisory Commission. Our responsibility is to express a conclusion on these consolidated financial statements based on our reviews.

Scope of Review

We conducted our reviews in accordance with the Standard on Review Engagements 2410, "Review of Financial Information Performed by the Independent Auditor of the Entity" of the Republic of China. A review of consolidated financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our reviews, nothing has come to our attention that causes us to believe that the accompanying consolidated financial statements do not present fairly, in all material respects, the consolidated financial position of the Group as at September 30, 2025 and 2024, and of its consolidated financial performance for the three-month and nine-month periods then ended and its consolidated cash flows for the nine-month periods then ended in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Accounting Standard 34, "Interim Financial Reporting" that came into effect as endorsed by the Financial Supervisory Commission.

Liao, Fu-Ming

Lin, Yung-Chih

For and on Behalf of PricewaterhouseCoopers, Taiwan

November 13, 2025

The accompanying consolidated financial statements are not intended to present the financial position and results of operations and cash flows in accordance with accounting principles generally accepted in countries and jurisdictions other than the Republic of China. The standards, procedures and practices in the Republic of China governing the audit of such financial statements may differ from those generally accepted in countries and jurisdictions other than the Republic of China. Accordingly, the accompanying consolidated financial statements and independent auditors' report are not intended for use by those who are not informed about the accounting principles or auditing standards generally accepted in the Republic of China, and their applications in practice.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
(In thousands of New Taiwan dollars)

Assets		Notes	September 30, 2025		December 31, 2024		September 30, 2024	
			AMOUNT	%	AMOUNT	%	AMOUNT	%
Current assets								
1100	Cash and cash equivalents	6(1)	\$ 781,239	19	\$ 1,120,889	26	\$ 1,033,625	24
1110	Financial assets at fair value through profit or loss - current	6(2)	1,826	-	-	-	8,185	-
1136	Financial assets at amortised cost - current	6(4) and 8	257	-	547	-	131,908	3
1150	Notes receivable, net	6(5)	32,757	1	22,726	1	22,256	-
1170	Accounts receivable, net	6(5)	1,056,848	26	1,124,521	26	1,096,963	26
1180	Accounts receivable - related parties, net	7	-	-	2,549	-	2,256	-
1197	Finance lease receivable, net		-	-	1,769	-	1,734	-
1200	Other receivables	6(6)	152,195	4	128,642	3	126,313	3
1220	Current income tax assets		3,894	-	1,490	-	1,535	-
130X	Inventories	6(7)	239,567	6	272,119	6	240,113	6
1410	Prepayments		72,957	2	20,786	1	26,772	1
1470	Other current assets		47,934	1	52,106	1	45,603	1
11XX	Total current assets		2,389,474	59	2,748,144	64	2,737,263	64
Non-current assets								
1510	Financial assets at fair value through profit or loss- non-current	6(2)	34,990	1	30,477	1	30,843	1
1517	Financial assets at fair value through other comprehensive income - non-current	6(3)	8,544	-	8,778	-	8,665	-
1535	Financial assets at amortized cost - non-current	6(4) and 8	358	-	-	-	-	-
1600	Property, plant and equipment	6(8) and 8	1,294,165	32	1,242,723	29	1,184,511	28
1755	Right-of-use assets	6(9) and 7	89,946	2	117,496	3	125,337	3
1780	Intangible assets	6(10)	55,377	2	57,862	1	65,741	1
1840	Deferred income tax assets		39,879	1	44,656	1	43,654	1
1975	Net defined benefit asset - non-current		12,336	-	12,199	-	10,292	-
1990	Other non-current assets	8	101,073	3	30,001	1	69,090	2
15XX	Total non-current assets		1,636,668	41	1,544,192	36	1,538,133	36
1XXX	Total assets		\$ 4,026,142	100	\$ 4,292,336	100	\$ 4,275,396	100

(Continued)

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
(In thousands of New Taiwan dollars)

Liabilities and Equity		Notes	September 30, 2025		December 31, 2024		September 30, 2024	
			AMOUNT	%	AMOUNT	%	AMOUNT	%
Current liabilities								
2100	Short-term borrowings	6(11)	\$ 45,000	1	\$ 45,000	1	\$ 50,000	1
2120	Financial liabilities at fair value through profit or loss - current	6(2)	3,019	-	5,710	-	-	-
2130	Contract liabilities - current	6(20)	2,194	-	1,900	-	7,216	-
2170	Accounts payable	6(12)	569,668	14	604,299	14	584,506	14
2200	Other payables	6(13)	322,456	8	341,188	8	315,936	7
2220	Other payables to related parties	7	503	-	217	-	388	-
2230	Current income tax liabilities		593	-	10,373	-	6,516	-
2280	Lease liabilities - current	7	16,834	-	24,584	1	26,128	1
2320	Long-term borrowings - current	6(14)	58,017	2	50,000	1	50,000	1
2399	Other current liabilities		4,509	-	4,304	-	3,257	-
21XX	Total current liabilities		1,022,793	25	1,087,575	25	1,043,947	24
Non-current liabilities								
2540	Long-term borrowings	6(14)	276,637	7	150,000	4	162,500	4
2570	Deferred income tax liabilities		155,097	4	176,314	4	171,477	4
2580	Lease liabilities - non-current	7	4,752	-	16,574	-	22,581	1
2600	Other non-current liabilities		6,962	-	6,316	-	6,863	-
25XX	Total non-current liabilities		443,448	11	349,204	8	363,421	9
2XXX	Total liabilities		1,466,241	36	1,436,779	33	1,407,368	33
Equity								
Equity attributable to owners of the parent								
Share capital								
3110	Ordinary share	6(16)	892,631	22	892,631	21	892,631	21
Capital surplus								
3200	Capital surplus	6(17)	1,570,092	39	1,622,130	38	1,622,130	38
Retained earnings								
3310	Legal reserve	6(18)	142,048	4	151,775	4	151,775	4
3320	Special reserve		280,709	7	369,917	9	369,917	9
3350	(Accumulated deficit)							
	unappropriated retained earnings		(108,188)	(3)	(98,935)	(2)	(71,633)	(2)
Other equity interest								
3400	Other equity interest	6(19)	(425,121)	(10)	(280,708)	(7)	(305,447)	(7)
3500	Treasury shares	6(19)	(25,619)	(1)	(25,619)	(1)	(25,619)	(1)
31XX	Equity attributable to owners of the parent		2,326,552	58	2,631,191	62	2,633,754	62
36XX	Non-controlling interests	4(3)	233,349	6	224,366	5	234,274	5
3XXX	Total equity		2,559,901	64	2,855,557	67	2,868,028	67
Significant contingent liabilities and unrecognised contract commitments								
3X2X	Total liabilities and equity		\$ 4,026,142	100	\$ 4,292,336	100	\$ 4,275,396	100

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(In thousands of New Taiwan dollars, except for loss per share amount)

Items	Notes	Three months ended September 30				Nine months ended September 30			
		2025		2024		2025		2024	
		AMOUNT	%	AMOUNT	%	AMOUNT	%	AMOUNT	%
4000 Operating revenue	6(20) and 7	\$ 741,689	100	\$ 851,805	100	\$ 2,453,659	100	\$ 2,401,235	100
5000 Operating costs	6(7)(25)	(684,485)	(92)	(755,491)	(89)	(2,170,545)	(88)	(2,079,283)	(87)
5900 Gross profit		<u>57,204</u>	<u>8</u>	<u>96,314</u>	<u>11</u>	<u>283,114</u>	<u>12</u>	<u>321,952</u>	<u>13</u>
Operating expenses	6(25) and 7								
6100 Selling and marketing expenses		(55,912)	(8)	(37,436)	(4)	(121,650)	(5)	(108,333)	(5)
6200 General and administrative expenses		(85,290)	(11)	(85,088)	(10)	(246,946)	(10)	(243,276)	(10)
6300 Research and development expenses		(16,312)	(2)	(16,841)	(2)	(50,056)	(2)	(50,920)	(2)
6450 Impairment (loss) gain	12(2)	<u>201</u>	<u>-</u>	<u>(1,350)</u>	<u>-</u>	<u>1,227</u>	<u>-</u>	<u>(5,716)</u>	<u>-</u>
6000 Total operating expenses		<u>(157,313)</u>	<u>(21)</u>	<u>(140,715)</u>	<u>(16)</u>	<u>(417,425)</u>	<u>(17)</u>	<u>(408,245)</u>	<u>(17)</u>
6900 Net operating loss		<u>(100,109)</u>	<u>(13)</u>	<u>(44,401)</u>	<u>(5)</u>	<u>(134,311)</u>	<u>(5)</u>	<u>(86,293)</u>	<u>(4)</u>
Non-operating income and expenses									
7100 Interest income	6(21)	2,286	-	6,083	1	8,561	-	18,546	1
7010 Other income	6(22)	2,321	-	4,325	-	8,864	-	10,451	-
7020 Other gains and losses	6(23)	8,897	1	(7,556)	(1)	(6,809)	-	(2,742)	-
7050 Finance costs	6(24) and 7	(2,864)	-	(1,720)	-	(5,649)	-	(5,304)	-
7000 Total non-operating income and expenses		<u>10,640</u>	<u>1</u>	<u>1,132</u>	<u>-</u>	<u>4,967</u>	<u>-</u>	<u>20,951</u>	<u>1</u>
7900 Loss before income tax		<u>(89,469)</u>	<u>(12)</u>	<u>(43,269)</u>	<u>(5)</u>	<u>(129,344)</u>	<u>(5)</u>	<u>(65,342)</u>	<u>(3)</u>
7950 Income tax (expense) benefit	6(27)	<u>6,038</u>	<u>1</u>	<u>(8,748)</u>	<u>(1)</u>	<u>(9,606)</u>	<u>(1)</u>	<u>(28,165)</u>	<u>(1)</u>
8200 Loss for the year		<u>(\$ 83,431)</u>	<u>(11)</u>	<u>(\$ 52,017)</u>	<u>(6)</u>	<u>(\$ 138,950)</u>	<u>(6)</u>	<u>(\$ 93,507)</u>	<u>(4)</u>
Other comprehensive income (loss)									
Components of other comprehensive income (loss) that will be reclassified to profit or loss									
8361 Financial statements translation differences of foreign operations		<u>\$ 77,900</u>	<u>10</u>	<u>(\$ 23,189)</u>	<u>(3)</u>	<u>(\$ 173,812)</u>	<u>(7)</u>	<u>\$ 68,170</u>	<u>3</u>
8300 Other comprehensive loss for the year		<u>\$ 77,900</u>	<u>10</u>	<u>(\$ 23,189)</u>	<u>(3)</u>	<u>(\$ 173,812)</u>	<u>(7)</u>	<u>\$ 68,170</u>	<u>3</u>
8500 Total comprehensive income (loss) for the year		<u>(\$ 5,531)</u>	<u>(1)</u>	<u>(\$ 75,206)</u>	<u>(9)</u>	<u>(\$ 312,762)</u>	<u>(13)</u>	<u>(\$ 25,337)</u>	<u>(1)</u>
Loss attributable to:									
8610 Owners of the parent		<u>(\$ 65,558)</u>	<u>(9)</u>	<u>(\$ 44,126)</u>	<u>(5)</u>	<u>(\$ 102,237)</u>	<u>(4)</u>	<u>(\$ 71,841)</u>	<u>(3)</u>
8620 Non-controlling interests		<u>(17,873)</u>	<u>(2)</u>	<u>(7,891)</u>	<u>(1)</u>	<u>(36,713)</u>	<u>(2)</u>	<u>(21,666)</u>	<u>(1)</u>
		<u>(\$ 83,431)</u>	<u>(11)</u>	<u>(\$ 52,017)</u>	<u>(6)</u>	<u>(\$ 138,950)</u>	<u>(6)</u>	<u>(\$ 93,507)</u>	<u>(4)</u>
Comprehensive income (loss) attributable to:									
8710 Owners of the parent		<u>\$ 5,074</u>	<u>-</u>	<u>(\$ 63,074)</u>	<u>(8)</u>	<u>(\$ 246,650)</u>	<u>(10)</u>	<u>(\$ 7,372)</u>	<u>-</u>
8720 Non-controlling interests		<u>(10,605)</u>	<u>(1)</u>	<u>(12,132)</u>	<u>(1)</u>	<u>(66,112)</u>	<u>(3)</u>	<u>(17,965)</u>	<u>(1)</u>
		<u>(\$ 5,531)</u>	<u>(1)</u>	<u>(\$ 75,206)</u>	<u>(9)</u>	<u>(\$ 312,762)</u>	<u>(13)</u>	<u>(\$ 25,337)</u>	<u>(1)</u>
Loss per share (in dollars)	6(28)								
9750 Basic loss per share		<u>(\$ 0.74)</u>		<u>(\$ 0.50)</u>		<u>(\$ 1.16)</u>		<u>(\$ 0.81)</u>	
9850 Diluted loss per share		<u>(\$ 0.74)</u>		<u>(\$ 0.50)</u>		<u>(\$ 1.16)</u>		<u>(\$ 0.81)</u>	

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2025 AND 2024
(In thousands of New Taiwan dollars)

Equity attributable to owners of the parent											
	Notes	Share capital ordinary share	Capital surplus	Retained Earnings			Other equity interest	Treasury shares	Total	Non-controlling interests	Total equity
				Legal reserve	Special reserve	(Accumulated deficit) unappropriated retained earnings	Financial statements translation differences of foreign operations				
<u>Nine months ended September 30, 2024</u>											
Balance at January 1, 2024		\$ 892,631	\$ 1,666,262	\$ 143,906	\$ 362,837	\$ 59,289	(\$ 369,916)	\$ -	\$ 2,755,009	\$ 252,239	\$ 3,007,248
Loss for the period		-	-	-	-	(71,841)	-	-	(71,841)	(21,666)	(93,507)
Other comprehensive income (loss) for the period	6(19)	-	-	-	-	-	64,469	-	64,469	3,701	68,170
Total comprehensive income (loss) for the period		-	-	-	-	(71,841)	64,469	-	(7,372)	(17,965)	(25,337)
Appropriations of 2023 earnings:	6(18)										
Legal reserve		-	-	7,869	-	(7,869)	-	-	-	-	-
Special reserve		-	-	-	7,080	(7,080)	-	-	-	-	-
Cash dividends		-	-	-	-	(44,132)	-	-	(44,132)	-	(44,132)
Issuance of cash dividends from capital surplus	6(17)	-	(44,132)	-	-	-	-	-	(44,132)	-	(44,132)
Purchase of treasury shares	6(16)	-	-	-	-	-	-	(25,619)	(25,619)	-	(25,619)
Balance at September 30, 2024		<u>\$ 892,631</u>	<u>\$ 1,622,130</u>	<u>\$ 151,775</u>	<u>\$ 369,917</u>	<u>(\$ 71,633)</u>	<u>(\$ 305,447)</u>	<u>(\$ 25,619)</u>	<u>\$ 2,633,754</u>	<u>\$ 234,274</u>	<u>\$ 2,868,028</u>
<u>Nine months ended September 30, 2025</u>											
Balance at January 1, 2025		\$ 892,631	\$ 1,622,130	\$ 151,775	\$ 369,917	(\$ 98,935)	(\$ 280,708)	(\$ 25,619)	\$ 2,631,191	\$ 224,366	\$ 2,855,557
Loss for the period		-	-	-	-	(102,237)	-	-	(102,237)	(36,713)	(138,950)
Other comprehensive income (loss) for the period	6(19)	-	-	-	-	-	(144,413)	-	(144,413)	(29,399)	(173,812)
Total comprehensive income (loss) for the period		-	-	-	-	(102,237)	(144,413)	-	(246,650)	(66,112)	(312,762)
Appropriations of 2024 earnings:	6(18)										
Legal reserve used to cover accumulated		-	-	(9,727)	-	9,727	-	-	-	-	-
Reversal of special reserve		-	-	-	(89,208)	89,208	-	-	-	-	-
Issuance of cash dividends from capital	6(17)	-	(44,132)	-	-	-	-	-	(44,132)	-	(44,132)
Adjustments to share of changes in equity of associates and joint ventures	4(3)	-	(7,906)	-	-	(5,951)	-	-	(13,857)	13,857	-
Changes in non-controlling interests	4(3)	-	-	-	-	-	-	-	-	61,238	61,238
Balance at September 30, 2025		<u>\$ 892,631</u>	<u>\$ 1,570,092</u>	<u>\$ 142,048</u>	<u>\$ 280,709</u>	<u>(\$ 108,188)</u>	<u>(\$ 425,121)</u>	<u>(\$ 25,619)</u>	<u>\$ 2,326,552</u>	<u>\$ 233,349</u>	<u>\$ 2,559,901</u>

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
(In thousands of New Taiwan dollars)

	Notes	Nine months ended September 30	
		2025	2024
<u>CASH FLOWS FROM OPERATING ACTIVITIES</u>			
Loss before tax		(\$ 129,344)	(\$ 65,342)
Adjustments			
Adjustments to reconcile profit (loss)			
Depreciation charges on property, plant, and equipment	6(8)(25)	112,125	107,487
Depreciation charges on right-of-use assets	6(9)(25)	18,382	23,150
Expected credit (gain) loss	12(2) (	1,227)	5,716
Amortization charges	6(25)	9,822	10,000
Interest income	6(21) (	8,561)	(18,546)
Impairment loss recognized in profit or loss, property, plant and equipment	6(8)(23)	-	2,263
Gain on disposal of property, plant, and equipment	6(23) (	683)	(3,698)
Profit from lease modification	6(9)(23) (	3)	-
(Gain) loss on financial assets and liabilities at fair value through profit or loss	6(2)(23) (	8,191)	17,773
Interest expense	6(24)	5,649	5,304
Changes in operating assets and liabilities			
Changes in operating assets			
Notes receivable, net	(	11,600)	11,035
Accounts receivable, net		5,172	62,744
Accounts receivable to related parties		454	88
Other receivables	(	33,475)	(24,578)
Inventories		21,238	(35,404)
Other current assets	(	59,230)	(18,869)
Net defined benefit asset-non-current	(	137)	(86)
Changes in operating liabilities			
Contract liabilities - current		294	3,134
Accounts payable	(	2,650)	84,758
Accounts payable to related parties		-	(1,281)
Other payables	(	43,610)	2,800
Other payables to related parties		283	160
Other current liabilities		250	1,094
Other non-current liabilities		679	635
Cash flows (used in) generated from operations	(	124,318)	170,337
Interest received		8,877	13,590
Interest paid	(	4,614)	(4,106)
Income tax paid	(	39,674)	(55,826)
Net cash flows (used in) generated from operating activities		(159,729)	123,995

(Continued)

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
(In thousands of New Taiwan dollars)

		Nine months ended September 30	
	Notes	2025	2024
<u>CASH FLOWS FROM INVESTING ACTIVITIES</u>			
Acquisition of financial assets at amortized cost		(\$ 375)	(\$ 270)
Proceeds from disposal of financial assets at amortized cost		261	60,578
Increase in financial assets at fair value through profit or loss		(735)	(23,653)
Acquisition of financial assets at fair value through other comprehensive income (loss)		-	(5,500)
Acquisition of property, plant, and equipment	6(29)	(186,802)	(141,870)
Disposal of property, plant, and equipment		2,110	9,585
Acquisition of intangible assets	6(10)	(544)	-
Increase in guarantee deposits paid		(613)	(718)
Increase in prepayments for equipment		(85,921)	(51,466)
Decrease in long-term finance lease receivable		1,743	1,803
Net cash flows used in investing activities		(270,876)	(151,511)
<u>CASH FLOWS FROM FINANCING ACTIVITIES</u>			
Proceeds from short-term borrowings		250,000	350,000
Repayments of short-term borrowings		(250,000)	(345,000)
Proceeds from long-term borrowings	6(30)	175,611	-
Repayments of long-term borrowings	6(30)	(37,500)	(45,133)
Increase in guarantee deposits received	6(30)	-	161
Payments of lease liabilities	6(30)	(21,125)	(22,497)
Purchase of treasury shares	6(16)	-	(25,619)
Distribution of cash from capital surplus	6(17)	(44,124)	(44,132)
Cash dividends	6(18)	-	(44,132)
Changes in non-controlling interests	4(3)	61,238	-
Net cash flows generated from (used in) financing activities		134,100	(176,352)
Effect of exchange rate changes on cash and cash equivalents		(43,145)	13,908
Net decrease in cash and cash equivalents		(339,650)	(189,960)
Cash and cash equivalents at beginning of period		1,120,889	1,223,585
Cash and cash equivalents at end of period		\$ 781,239	\$ 1,033,625

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2025 AND 2024
(Expressed in thousands of New Taiwan dollars, except as otherwise indicated)

1. History and Organization

Jochu Technology Co., Ltd. (the “Company”) was incorporated in June 2000 under the provisions of the Company Act of the Republic of China (R.O.C.). The Company and its subsidiaries (the “Group”) are primarily engaged in manufacturing and selling of optoelectronic components, stamping molds, metal furniture, medical devices, and related international trading business. On April 17, 2006 and December 31, 2005, the Company merged with Yourui Precision Technology Co., Ltd. (“Yourui”) and Jingrong Machinery Co., Ltd. (“Jingrong”), respectively. The Company was the surviving company, while Yourui and Jingrong were the merged companies. The Company has been listed on the Taiwan Stock Exchange since April 2020.

2. The Date of Authorisation for Issuance of the Financial Statements and Procedures for Authorisation

These consolidated financial statements were authorized for issuance by the Board of Directors on November 13, 2025.

3. Application of New Standards, Amendments and Interpretations

(1) Effect of the adoption of new issuances of or amendments to International Financial Reporting Standards (“IFRS”) that came into effect as endorsed by the Financial Supervisory Commission (“FSC”)

New standards, interpretations and amendments endorsed by the FSC and became effective from 2025 are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by International Accounting Standards Board</u>
Amendments to IAS 21, ‘Lack of exchangeability’	January 1, 2025

The above standards and interpretations have no significant impact to the Group’s financial condition and financial performance based on the Group’s assessment.

(2) Effect of new issuances of or amendments to IFRSs as endorsed by the FSC but not yet adopted by the Group

New standards, interpretations and amendments endorsed by the FSC and will become effective from 2026 are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by IASB</u>
Amendments to IFRS 9 and IFRS 7, 'Amendments to the classification and measurement of financial Instruments'	January 1, 2026
Amendments to IFRS 9 and IFRS 7, 'Contracts Referencing Nature-dependent Electricity'	January 1, 2026
IFRS 17, 'Insurance contracts'	January 1, 2023
Amendments to IFRS 17, 'Insurance contracts'	January 1, 2023
Amendments to IFRS 17, 'Initial application of IFRS 17 and IFRS 9 – comparative information'	January 1, 2023
Annual Improvements to IFRS Accounting Standards—Volume 11	January 1, 2026

Except for the following, the above standards and interpretations have no significant impact to the Group's financial condition and financial performance based on the Group's assessment :

Amendments to IFRS 9 and IFRS 7, 'Amendments to the classification and measurement of financial Instruments'— clarify the date of recognition and derecognition of some financial assets and liabilities.

(3) IFRSs issued by International Accounting Standards Board ("IASB") but not yet endorsed by the FSC

New standards, interpretations and amendments issued by IASB but not yet included in the IFRSs as endorsed by the FSC are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by IASB</u>
Amendments to IFRS 10 and IAS 28, 'Sale or contribution of assets between an investor and its associate or joint venture'	To be determined by IASB
IFRS 18, 'Presentation and disclosure in financial statements'	January 1, 2027(Note)
IFRS 19, 'Subsidiaries without public accountability: disclosures'	January 1, 2027

Note : On September 25, 2025, the FSC announced that IFRS 18 will take effect starting from January 1, 2028. Domestic entities could elect to apply IFRS 18 for an earlier period after the endorsement of IFRS 18 by the FSC.

Except for the following, the above standards and interpretations have no significant impact to the Group's financial condition and financial performance based on the Group's assessment :

IFRS 18, 'Presentation and disclosure in financial statements'

IFRS 18, 'Presentation and disclosure in financial statements' replaces IAS 1. The standard introduces a defined structure of the statement of profit or loss, disclosure requirements related to management-defined performance measures, and enhanced principles on aggregation and disaggregation which apply to the primary financial statements and notes.

4. Summary of Significant Accounting Policies

Except for the compliance statement, basis of preparation and basis of consolidation set out below, the rest of the significant accounting policies applied in the preparation of these consolidated financial statements are the same as those disclosed in Note 4 to the consolidated financial statements as of and for the year ended 2024. The policies have been consistently applied to all the periods presented, unless otherwise stated.

(1) Compliance statement

- A. These consolidated financial statements of the Group have been prepared in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and the International Accounting Standard 34, “Interim Financial Reporting” that came into effect as endorsed by the FSC.
- B. These consolidated financial statements are to be read in conjunction together with the consolidated financial statements for the year ended 2024.

(2) Basis of preparation

- A. Except for the following items, the consolidated financial statements have been prepared under the historical cost convention:
 - (a) Financial assets and financial liabilities (including derivative instruments) at fair value through profit or loss.
 - (b) Financial assets at fair value through other comprehensive income.
 - (c) Defined benefit assets recognized based on the net amount of pension fund assets less present value of defined benefit obligation.
- B. The preparation of financial statements in conformity with International Financial Reporting Standards, International Accounting Standards, IFRIC Interpretations, and SIC Interpretations that came into effect as endorsed by the FSC (collectively referred herein as the “IFRSs”) requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Group’s accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the consolidated financial statements are disclosed in Note 5.

(3) Basis of consolidation

- A. Basis for preparation of consolidated financial statements:

The basis for preparation of these consolidated financial statements is the same as that for the preparation of the consolidated financial statements for the year ended 2024.

B. Subsidiaries included in the consolidated financial statements:

Name of investor	Name of subsidiary	Main business activities	Ownership (%)			Description
			September 30, 2025	December 31, 2024	September 30, 2024	
The Company	JOCHU INVESTMENT LTD. (JOCHU BVI)	Investment holding	100%	100%	100%	
	LEGIUN TECHNOLOGY CO., LTD. (LEGIUN)	Sales of medical devices	100%	100%	100%	
	eBio International Co., Ltd. (eBio International)	Investment holding	75.49%	52.02%	52.02%	Note1 Note2
JOCHU BVI	SUZHOU JOCHU PRECISION METAL CO., LTD. (SUZHOU JOCHU)	Production and sales of optoelectronic components, stamping molds, and related international trading business	100%	100%	100%	
	JOCHU GLOBAL INVESTMENT (CAYMAN) LTD. (JOCHU GLOBAL)	Investment holding	100%	100%	100%	
	PROSPERITY INVESTMENT HOLDING PTE. LTD. (PIH)	Investment holding	65%	65%	65%	Note4

Name of investor	Name of subsidiary	Main business activities	Ownership (%)			Description
			September 30, 2025	December 31, 2024	September 30, 2024	
eBio International	eBio technology Inc.	Research and development, manufacturing of medical electronic devices, biomedical sensors, and integrated design services for healthcare systems.	100%	100%	100%	Note3
JOCHU GLOBAL	JOCHU INTERNATIONAL (CAYMAN) LTD. (JOCHU INTERNATIONAL)	Investment holding	100%	100%	100%	
JOCHU INTERNATIONAL	JOCHU TECHNOLOGY (XIAMEN) LTD. (XIAMEN JOCHU)	Investment holding	66.67%	66.67%	66.67%	
PIH	JOCHU TECHNOLOGY (VIETNAM) CO.,LTD (JOCHU VIETNAM)	Production and sales of optoelectronic components, stamping molds, and related international trading business	100%	100%	100%	Note5
SUZHOU JOCHU	XIAMEN JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	33.33%	33.33%	33.33%	

Note 1: On February 6, 2025, the Company's Board of Directors resolved to increase investment in eBio International. In February 2025, the Company converted debt of \$30,000 into equity and additionally contributed \$6,000 in cash to participate in the capital increase plan. As a result, the Company's ownership in eBio International increased from 52.02% to 73.66% as of March 31, 2025. The difference between the acquisition cost and the net assets acquired was recognized as a reduction in capital surplus and retained earnings in the amounts of \$7,906 and \$4,823, respectively.

Note 2: On August 13, 2025, the Company's Board of Directors resolved to increase investment in eBio International. The Company contributed \$5,988 in cash to participate in the capital increase plan. As a result, the Company's ownership in eBio International increased from 73.66% to 75.49% as of September 30, 2025. The difference between the acquisition cost and the net assets acquired was recognized as a reduction in retained earnings in the amounts of \$1,128.

Note 3: eBio Technology Inc. conducted cash capital increases of \$36,000 and \$6,000 in February and August 2025, respectively. eBio International participated in the capital increase plans in proportion to its shareholding by contributing cash of \$36,000 and \$6,000, respectively.

Note 4: PIH conducted a cash capital increase of \$174,930 (USD 6,000 thousand) in July 2025. JOCHU BVI participated in the capital increase plan in proportion to its shareholding by contributing cash of \$113,705 (USD 3,900 thousand).

Note 5: JOCHU VIETNAM conducted a cash capital increase of \$174,930 (USD 6,000 thousand) in July 2025. PIH participated in the capital increase plan in proportion to its shareholding by contributing cash of \$174,930 (USD 6,000 thousand).

C. Subsidiaries not included in the consolidated financial statements: None.

D. Adjustments for subsidiaries with different balance sheet dates: None.

E. Significant restrictions: None.

F. Subsidiaries that have non-controlling interests that are material to the Group:

As at September 30, 2025, December 31, 2024 and September 30, 2024 the non-controlling interest amounted to \$233,349、\$224,366 and \$234,274, respectively. The information of non-controlling interest and respective subsidiaries is as follows:

Name of subsidiary	Principal place of business	Non-controlling interests			
		September 30, 2025		December 31, 2024	
		Amount	Ownership (%)	Amount	Ownership (%)
PIH	Singapore	\$ 227,784	35%	\$ 231,320	35%
Name of subsidiary	Principal place of business	September 30, 2024			
		Amount		Ownership (%)	
		Amount	Ownership (%)	Amount	Ownership (%)
PIH	Singapore	\$ 231,455	35%		

Summarized financial information of the subsidiaries:

Balance sheet

	PIH		
	September 30, 2025	December 31, 2024	September 30, 2024
Current asset	\$ 350,142	\$ 334,182	\$ 350,336
Non-current assets	508,740	372,204	350,758
Current liabilities	(143,021)	(44,488)	(38,845)
Non-current liabilities	(65,050)	(984)	(950)
Total net assets	\$ 650,811	\$ 660,914	\$ 661,299

Statement of comprehensive income

	PIH	
	Nine months ended September 30,	
	2025	2024
Revenue	\$ 68,824	\$ 37,648
Loss before income tax	(49,690)	(14,739)
Income tax expense	-	-
Loss for the Period	(49,690)	(14,739)
Other comprehensive income, net of tax	(6,277)	4,564
Total comprehensive income for the year	(\$ 55,967)	(\$ 10,175)
Comprehensive income attributable to non-controlling interest	(\$ 19,588)	(\$ 3,561)

	PIH	
	Nine months ended September 30,	
	2025	2024
Revenue	\$ 170,620	\$ 63,660
Loss before income tax	(101,037)	(37,600)
Income tax expense	-	-
Loss for the Period	(101,037)	(37,600)
Other comprehensive income, net of tax	(48,283)	(11,196)
Total comprehensive income for the year	(\$ 149,320)	(\$ 48,796)
Comprehensive income attributable to non-controlling interest	(\$ 52,262)	(\$ 17,079)

Cash Flow Statements

	PIH	
	Nine months ended September 30,	
	2025	2024
Net Cash used in operating activities	(\$ 191,036)	(\$ 63,897)
Net cash (used in) provided by investing activities	(183,041)	23,806
Net cash provided by financing activities	262,945	-
Effect of exchange rates on cash and cash equivalents	(25,467)	(475)
Decrease in cash and cash equivalents	(136,599)	(40,566)
Cash and cash equivalents, beginning of year	233,449	161,781
Cash and cash equivalents, end of year	<u>\$ 96,850</u>	<u>\$ 121,215</u>

(4) Employee benefits

Pension cost for the interim period is calculated on a year-to-date basis by using the pension cost rate derived from the actuarial valuation at the end of the prior financial year, adjusted for significant market fluctuations since that time and for significant curtailments, settlements, or other significant one-off events. Also, the related information is disclosed accordingly.

(5) Income tax

- A. The interim period income tax expense is recognized based on the estimated average annual effective income tax rate expected for the full financial year applied to the pretax income of the interim period, and the related information is disclosed accordingly.
- B. If a change in tax rate is enacted or substantively enacted in an interim period, the Group recognises the effect of the change immediately in the interim period in which the change occurs. The effect of the change on items recognised outside profit or loss is recognised in other comprehensive income or equity while the effect of the change on items recognised in profit or loss is recognised in profit or loss.

5. Critical Accounting Judgments, Estimates and Key Sources of Assumption Uncertainty

The additional disclosures are set out below. For the rest of the information, please refer to Note 5 in the consolidated financial statements for the year ended 2024.

6. Details of Significant Accounts

(1) Cash and cash equivalents

	<u>September 30, 2025</u>	<u>December 31, 2024</u>	<u>September 30, 2024</u>
Cash on hand and petty cash	\$ 532	\$ 379	\$ 440
Checking accounts and demand deposits	430,190	440,842	321,405
Time deposits	<u>350,517</u>	<u>679,668</u>	<u>711,780</u>
	<u>\$ 781,239</u>	<u>\$ 1,120,889</u>	<u>\$ 1,033,625</u>

A. The Group transacts with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.

B. The Group has no cash and cash equivalents pledged to others.

(2) Financial assets and liabilities at fair value through profit or loss

	<u>September 30, 2025</u>	<u>December 31, 2024</u>	<u>September 30, 2024</u>
Current items:			
Financial assets mandatorily measured at fair value through profit or loss			
Forward foreign exchange contracts	<u>\$ 1,826</u>	<u>\$ -</u>	<u>\$ 8,185</u>
Non-current items:			
Financial assets mandatorily measured at fair value through profit or loss			
Private equity fund	\$ 30,000	\$ 30,000	\$ 30,000
Valuation adjustment	<u>4,990</u>	<u>477</u>	<u>843</u>
	<u>\$ 34,990</u>	<u>\$ 30,477</u>	<u>\$ 30,843</u>
Current items:			
Financial liabilities mandatorily measured at fair value through profit or loss			
Forward foreign exchange contracts	<u>\$ 3,019</u>	<u>\$ 5,710</u>	<u>\$ -</u>

A. Amounts recognized in profit or loss in relation to financial assets and liabilities at fair value through profit or loss are listed below:

		<u>Three months ended September 30,</u>	
		<u>2025</u>	<u>2024</u>
Financial assets and liabilities mandatorily measured at fair value through profit or loss			
Forward foreign exchange contracts	(\$	2,680)	\$ 5,098
Private equity fund		4,888	(2,077)
	\$	<u>2,208</u>	<u>\$ 3,021</u>
		<u>Nine months ended September 30,</u>	
		<u>2025</u>	<u>2024</u>
Financial assets and liabilities mandatorily measured at fair value through profit or loss			
Forward foreign exchange contracts	\$	3,678	(\$ 14,513)
Private equity fund		4,513	(3,260)
	\$	<u>8,191</u>	<u>(\$ 17,773)</u>

B. The Group entered into contracts relating to derivative financial assets which were not accounted for under hedge accounting. The information is listed below:

		<u>September 30, 2025</u>	
		Contract amount	
		(notional principal)	
Derivative financial			
Instruments		(in thousands)	Maturity date
Current items:			
Forward foreign exchange contracts			
Sell USD Buy RMB	USD	12,430	2025.10.01~2026.04.30
Sell USD Buy NTD	USD	4,060	2025.10.13~2025.12.10
		<u>December 31, 2024</u>	
		Contract amount	
		(notional principal)	
Derivative financial			
Instruments		(in thousands)	Maturity date
Current items:			
Forward foreign exchange contracts			
Sell USD Buy RMB	USD	11,520	2025.01.01~2025.07.28
Sell USD Buy NTD	USD	4,060	2025.01.10~2025.03.10

Derivative financial Instruments	September 30, 2024	
	Contract amount (notional principal) (in thousands)	Maturity date
Current items:		
Forward foreign exchange contracts		
Sell USD Buy RMB	USD 11,720	2024.10.01~2025.04.28
Sell USD Buy NTD	USD 4,060	2024.10.11~2024.12.10

The Group entered into forward foreign exchange contracts to sell USD to hedge exchange rate fluctuations of foreign currency denominated assets and liabilities. However, these forward foreign exchange contracts are not accounted for under hedge accounting.

C. The Group had no financial assets at fair value through profit or loss pledged to others as collateral.

D. The Group transacts with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.

(3) Financial assets at fair value through other comprehensive income (loss)

Items	September 30, 2025	December 31, 2024	September 30, 2024
Non-current items:			
Equity instruments			
Unlisted stocks			
W Company	\$ 3,044	\$ 3,278	\$ 3,165
Y Company	3,000	3,000	3,000
B Company	2,500	2,500	2,500
	<u>\$ 8,544</u>	<u>\$ 8,778</u>	<u>\$ 8,665</u>

A. The Group has elected to classify equity instruments that are considered to be strategic investments as financial assets at fair value through other comprehensive income. As at September 30, 2025, December 31, 2024 and September 30, 2024, the fair value of such investments were the same as the book value.

B. The fair value changes of financial assets measured at fair value through other comprehensive income recognized in other comprehensive income were zero for the nine months ended September 30, 2025 and 2024.

C. The Group had no financial assets at fair value through other comprehensive income pledged to others as collateral.

(4) Financial assets at amortized cost

Items	September 30, 2025	December 31, 2024	September 30, 2024
Current items:			
Restricted assets	\$ 257	\$ 547	\$ 542
Time deposits with original maturity period of more than three months	-	-	131,366
	<u>\$ 257</u>	<u>\$ 547</u>	<u>\$ 131,908</u>
Non-current item:			
Restricted assets	<u>\$ 358</u>	<u>\$ -</u>	<u>\$ -</u>

A. Amounts recognized in profit or loss in relation to financial assets at amortized cost are listed below:

	<u>Three months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Interest income	<u>\$ 1</u>	<u>\$ 1,651</u>
	<u>Nine months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Interest income	<u>\$ 3</u>	<u>\$ 5,756</u>

B. As at September 30, 2025, December 31, 2024 and September 30, 2024, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the financial assets at amortized cost held by the Group was the book value at the balance sheet date.

C. Details of the Group's financial assets at amortized cost pledged to others as collateral are provided in Note 8.

D. The counterparties of the Group's investments in certificates of deposits are financial institutions with high credit quality, so the Group expects that the probability of counterparty default is remote.

(5) Notes and accounts receivable

	<u>September 30, 2025</u>	<u>December 31, 2024</u>	<u>September 30, 2024</u>
Notes receivable	<u>\$ 32,757</u>	<u>\$ 22,726</u>	<u>\$ 22,256</u>
Accounts receivable	<u>\$ 1,057,790</u>	<u>\$ 1,126,727</u>	<u>\$ 1,108,075</u>
Less: Allowance for uncollectible accounts	<u>(942)</u>	<u>(2,206)</u>	<u>(11,112)</u>
	<u>\$ 1,056,848</u>	<u>\$ 1,124,521</u>	<u>\$ 1,096,963</u>

A. As at September 30, 2025, December 31, 2024 and September 30, 2024, notes receivable and accounts receivable were all from contracts with customers. As at January 1, 2024, the balance of receivables from contracts with customers amounted to \$1,163,743.

B. The ageing analysis of notes receivable and accounts receivable is as follows:

		<u>September 30, 2025</u>	
		<u>Notes</u>	<u>Accounts</u>
		<u>receivable</u>	<u>receivable</u>
Not past due		\$ 32,757	\$ 1,010,998
Up to 90 days		-	45,850
Over 91 days		-	942
		<u>\$ 32,757</u>	<u>\$ 1,057,790</u>

		<u>December 31, 2024</u>		<u>September 30, 2024</u>	
		<u>Notes</u>	<u>Accounts</u>	<u>Notes</u>	<u>Accounts</u>
		<u>receivable</u>	<u>receivable</u>	<u>receivable</u>	<u>receivable</u>
Not past due	\$ 22,726	\$ 1,112,733	\$ 22,256	\$ 1,074,590	
Up to 90 days	-	11,788	-	22,373	
Over 91 days	-	2,206	-	11,112	
	<u>\$ 22,726</u>	<u>\$ 1,126,727</u>	<u>\$ 22,256</u>	<u>\$ 1,108,075</u>	

The above ageing analysis was based on past due date.

C. As at September 30, 2025, December 31, 2024 and September 30, 2024, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the Group's notes and accounts receivable were the book value at the balance sheet date.

D. Information relating to credit risk of notes receivable and accounts receivable is provided in Note 12(2).

(6) Other receivables

	<u>September 30, 2025</u>	<u>December 31, 2024</u>	<u>September 30, 2024</u>
Receipts under custody - Molds	\$ 132,946	\$ 119,594	\$ 105,898
Income tax refund receivable	8,707	-	8,921
Molds receivable	4,225	3,858	2,566
Others	<u>6,317</u>	<u>5,190</u>	<u>10,382</u>
	152,195	128,642	127,767
Less: Allowance for other receivables	<u>-</u>	<u>-</u>	<u>(1,454)</u>
	<u>\$ 152,195</u>	<u>\$ 128,642</u>	<u>\$ 126,313</u>

(7) Inventories

	<u>September 30, 2025</u>	<u>December 31, 2024</u>	<u>September 30, 2024</u>
Raw materials	\$ 101,994	\$ 106,401	\$ 93,708
Work in progress	104,753	71,955	79,768
Finished goods	<u>117,716</u>	<u>151,416</u>	<u>125,030</u>
	324,463	329,772	298,506
Less: Allowance for valuation loss	(84,896)	(57,653)	(58,393)
	<u>\$ 239,567</u>	<u>\$ 272,119</u>	<u>\$ 240,113</u>

The cost of inventories recognized as expense for the year:

	<u>Three months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Cost of inventories sold	\$ 674,180	\$ 762,084
Loss on decline in market value	21,725	4,544
Loss on disposal of inventory	5,681	6,024
Revenue from sale of scraps	(17,101)	(17,161)
	<u>\$ 684,485</u>	<u>\$ 755,491</u>

	<u>Nine months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Cost of inventories sold	\$ 2,177,295	\$ 2,116,122
Loss (gain) on decline in market value	30,645	(920)
Loss on disposal of inventory	14,795	19,014
Revenue from sale of scraps	(52,190)	(54,933)
	<u>\$ 2,170,545</u>	<u>\$ 2,079,283</u>

During the period from January 1 to September 30, 2025 and 2024, the Group realized recovery gains as a result of the sale and put into production of previously impaired and stagnant inventory.

(8) Property, plant and equipment

	2025								
	Land	Buildings and structures	Machinery and equipment	Transportation equipment	Office equipment	Leasehold improvements	Other equipment	Construction in progress	Total
At January 1									
Cost	\$ 313,143	\$ 1,150,187	\$ 1,154,975	\$ 26,217	\$ 15,246	\$ 23,195	\$ 198,257	\$ 32,277	\$ 2,913,497
Accumulated depreciation	- (	600,095)	(826,796)	(19,235)	(12,297)	(14,608)	(161,526)	-	(1,634,557)
Accumulated impairment	- (	14,674)	(20,824)	-	(416)	-	(303)	-	(36,217)
	<u>\$ 313,143</u>	<u>\$ 535,418</u>	<u>\$ 307,355</u>	<u>\$ 6,982</u>	<u>\$ 2,533</u>	<u>\$ 8,587</u>	<u>\$ 36,428</u>	<u>\$ 32,277</u>	<u>\$ 1,242,723</u>
Opening net book amount as at January 1	\$ 313,143	\$ 535,418	\$ 307,355	\$ 6,982	\$ 2,533	\$ 8,587	\$ 36,428	\$ 32,277	\$ 1,242,723
Additions	-	18,921	59,882	2,999	991	1,767	8,924	130,405	223,889
Disposal	-	- (	1,445)	- (	27)	-	-	- (	1,472)
Depreciation charge	- (	38,210)	(52,901)	(2,422)	(873)	(1,842)	(15,877)	-	(112,125)
Reclassifications	-	10,125	15,106	-	-	-	3,208	(19,336)	9,103
Net exchange differences	- (	35,564)	(23,668)	(601)	(34)	-	(1,544)	(6,542)	(67,953)
Closing net book amount as at September 30	<u>\$ 313,143</u>	<u>\$ 490,690</u>	<u>\$ 304,329</u>	<u>\$ 6,958</u>	<u>\$ 2,590</u>	<u>\$ 8,512</u>	<u>\$ 31,139</u>	<u>\$ 136,804</u>	<u>\$ 1,294,165</u>
At September 30									
Cost	\$ 313,143	\$ 1,113,430	\$ 1,120,146	\$ 26,488	\$ 16,119	\$ 24,962	\$ 204,189	\$ 136,804	\$ 2,955,281
Accumulated depreciation	- (	608,066)	(799,172)	(19,530)	(13,113)	(16,450)	(172,747)	-	(1,629,078)
Accumulated impairment	- (	14,674)	(16,645)	-	(416)	-	(303)	-	(32,038)
	<u>\$ 313,143</u>	<u>\$ 490,690</u>	<u>\$ 304,329</u>	<u>\$ 6,958</u>	<u>\$ 2,590</u>	<u>\$ 8,512</u>	<u>\$ 31,139</u>	<u>\$ 136,804</u>	<u>\$ 1,294,165</u>

2024									
	Land	Buildings and structures	Machinery and equipment	Transportation equipment	Office equipment	Leasehold improvements	Other equipment	Construction in progress	Total
At January 1									
Cost	\$ 313,143	\$ 1,102,390	\$ 1,010,751	\$ 24,952	\$ 14,318	\$ 17,351	\$ 183,765	\$ 723	\$ 2,667,393
Accumulated depreciation	-	(534,877)	(803,275)	(19,171)	(12,694)	(12,733)	(154,183)	-	(1,536,933)
Accumulated impairment	-	(14,674)	(14,209)	-	-	-	-	-	(28,883)
	<u>\$ 313,143</u>	<u>\$ 552,839</u>	<u>\$ 193,267</u>	<u>\$ 5,781</u>	<u>\$ 1,624</u>	<u>\$ 4,618</u>	<u>\$ 29,582</u>	<u>\$ 723</u>	<u>\$ 1,101,577</u>
Opening net book amount as at January 1	\$ 313,143	\$ 552,839	\$ 193,267	\$ 5,781	\$ 1,624	\$ 4,618	\$ 29,582	\$ 723	\$ 1,101,577
Additions	-	12,207	85,863	2,417	741	2,414	14,171	25,205	143,018
Disposals	-	(1,347)	(4,540)	-	-	-	-	-	(5,887)
Depreciation charge	-	(40,566)	(48,093)	(1,928)	(774)	(1,331)	(14,795)	-	(107,487)
Impairment loss	-	-	(2,263)	-	-	-	-	-	(2,263)
Reclassifications	-	4,101	24,746	-	53	-	2,516	6,817	38,233
Net exchange differences	-	10,909	5,305	217	7	-	814	68	17,320
Closing net book amount as at September 30	<u>\$ 313,143</u>	<u>\$ 538,143</u>	<u>\$ 254,285</u>	<u>\$ 6,487</u>	<u>\$ 1,651</u>	<u>\$ 5,701</u>	<u>\$ 32,288</u>	<u>\$ 32,813</u>	<u>\$ 1,184,511</u>
At September 30									
Cost	\$ 313,143	\$ 1,136,946	\$ 1,084,867	\$ 24,759	\$ 14,005	\$ 19,765	\$ 188,380	\$ 32,813	\$ 2,814,678
Accumulated depreciation	-	(584,129)	(814,106)	(18,272)	(12,354)	(14,064)	(156,092)	-	(1,599,017)
Accumulated impairment	-	(14,674)	(16,476)	-	-	-	-	-	(31,150)
	<u>\$ 313,143</u>	<u>\$ 538,143</u>	<u>\$ 254,285</u>	<u>\$ 6,487</u>	<u>\$ 1,651</u>	<u>\$ 5,701</u>	<u>\$ 32,288</u>	<u>\$ 32,813</u>	<u>\$ 1,184,511</u>

- A. Amount of borrowing costs capitalized as part of property, plant and equipment and the range of the interest rates for such capitalization: None.
- B. The significant components of buildings and structures include main plants and engineering systems, which are depreciated over 15~36 years and 5~25 years, respectively.
- C. Information about the property, plant and equipment that were pledged to others as collateral is provided in Note 8.
- D. The amount of reclassifications for the nine months ended September 30, 2025 was reclassified from other non-current assets to property, plant and equipment.

(9) Leasing arrangements — lessee

- A. The Group leases various assets including land, buildings, business vehicles, and multifunction printers. Rental contracts for land are typically made for periods of 46 to 50 years, while the others are made for periods of 1 to 5 years. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose covenants, but leased assets may not be used as security for borrowing purposes.
- B. Short-term leases with a lease term of 12 months or less comprise leasing of warehouse, office, and business vehicles. Low-value assets comprise leasing of multifunction printers. The abovementioned leases were excluded from right-of-use assets.
- C. The carrying amount of right-of-use assets and the depreciation charge are as follows:

	Carrying amount		
	September 30, 2025	December 31, 2024	September 30, 2024
Land	\$ 62,613	\$ 73,688	\$ 72,410
Buildings	24,844	40,816	49,864
Business vehicles	2,489	2,992	3,063
	<u>\$ 89,946</u>	<u>\$ 117,496</u>	<u>\$ 125,337</u>

	Depreciation charge	
	Three months ended September 30,	
	2025	2024
Land	\$ 392	\$ 454
Buildings	5,248	6,236
Business vehicles	401	391
	<u>\$ 6,041</u>	<u>\$ 7,081</u>

	Depreciation charge	
	Nine months ended September 30,	
	2025	2024
Land	\$ 1,246	\$ 1,355
Buildings	15,911	20,624
Business vehicles	1,225	1,171
	<u>\$ 18,382</u>	<u>\$ 23,150</u>

- D. For the three months and nine months ended September 30, 2025 and 2024, the additions to right-of-use assets were \$0, \$0, \$1,506 and \$14,356, respectively.
- E. The information on profit and loss accounts relating to lease contracts is as follows:

		Three months ended September 30,	
		2025	2024
<u>Items affecting profit or loss</u>			
Interest expense on lease liabilities	\$	195	\$ 372
Expense on short-term lease contracts		3,324	2,685
Expense on leases of low-value assets		15	14
Expense on variable lease payments		475	167
		Nine months ended September 30,	
		2025	2024
<u>Items affecting profit or loss</u>			
Interest expense on lease liabilities	\$	651	\$ 1,221
Expense on short-term lease contracts		9,475	7,931
Expense on leases of low-value assets		44	44
Expense on variable lease payments		1,025	469
Gain on lease modification		3	-

F. For the three months and nine months ended September 30, 2025 and 2024, the Group's total cash outflow for leases were \$16,367, \$16,073, \$31,669 and \$30,941, respectively.

G. Variable lease payments

Some of the Group's lease contracts contain variable lease payment terms that are linked to distance and hours which were used. Various lease payments that depend on distance and hours are recognized in profit or loss in the period in which the event or condition that triggers those payments occurs.

(10) Intangible asset

		2025			
		Patent Right	Goodwill	Others	Total
At January 1					
Cost	\$	24,100	\$ 45,247	\$ 7,639	\$ 76,986
Accumulated amortization	(	4,208)	-	-	(4,208)
Accumulated impairment		-	(14,916)	-	(14,916)
	\$	<u>19,892</u>	<u>30,331</u>	<u>7,639</u>	<u>57,862</u>
At January 1					
Additions		-	-	544	544
Amortization charge	(	1,804)	-	(1,225)	(3,029)
At September 30	\$	<u>18,088</u>	<u>30,331</u>	<u>6,958</u>	<u>55,377</u>
At September 30					
Cost	\$	24,100	\$ 45,247	\$ 8,183	\$ 77,530
Accumulated amortization	(	6,012)	-	(1,225)	(7,237)
Accumulated impairment		-	(14,916)	-	(14,916)
	\$	<u>18,088</u>	<u>30,331</u>	<u>6,958</u>	<u>55,377</u>

		2024		
		Patent Right	Goodwill	Total
At January 1				
Cost	\$	24,100	\$ 45,247	\$ 69,347
Accumulated amortization	(	1,802)	-	(1,802)
	\$	<u>22,298</u>	<u>\$ 45,247</u>	<u>\$ 67,545</u>
At January 1		\$ 22,298	\$ 45,247	\$ 67,545
Amortization charge	(	1,804)	-	(1,804)
At September 30	\$	<u>20,494</u>	<u>\$ 45,247</u>	<u>\$ 65,741</u>
At September 30				
Cost	\$	24,100	\$ 45,247	\$ 69,347
Accumulated amortization	(	3,606)	-	(3,606)
	\$	<u>20,494</u>	<u>\$ 45,247</u>	<u>\$ 65,741</u>

A. The amounts recognized in amortization charge are listed below:

	Three months ended September 30, 2025	Three months ended September 30, 2024
General and administrative expenses	\$ <u>1,018</u>	\$ <u>601</u>
	Nine months ended September 30, 2025	Nine months ended September 30, 2024
General and administrative expenses	\$ <u>3,029</u>	\$ <u>1,804</u>

B. Amount of borrowing costs capitalized as part of intangible assets and the range of the interest rates for such capitalization: None.

C. The information regarding the consideration paid for the acquisition of eBio International Group and recognition of goodwill, please refer to Note 6(30).

D. Goodwill is allocated to the Group's cash-generating units identified by operating segments.

	September 30, 2025	September 30, 2024
Medical businesses	\$ <u>30,331</u>	\$ <u>45,247</u>

E. The recoverable amount is assessed based on value in use which is calculated using pre-tax cash flow forecasts from five-year financial budgets approved by management. The Group's recoverable amount calculated based on value in use exceeds the book value, so no impairment of goodwill has occurred. The key assumptions for the calculation of value in use, please refer to Note 6(11) in the consolidated financial statements for the year ended December 31, 2024.

F. The Group has no intangible assets pledged to others.

(11) Short-term borrowings

<u>Type of borrowings</u>	<u>September 30, 2025</u>	<u>Interest rate range</u>	<u>Collateral</u>
Bank borrowings			
Unsecured borrowings	<u>\$ 45,000</u>	1.958%~2.14%	None

<u>Type of borrowings</u>	<u>December 31, 2024</u>	<u>Interest rate range</u>	<u>Collateral</u>
Bank borrowings			
Unsecured borrowings	<u>\$ 45,000</u>	2.09%~2.015%	None

<u>Type of borrowings</u>	<u>September 30, 2024</u>	<u>Interest rate range</u>	<u>Collateral</u>
Bank borrowings			
Unsecured borrowings	<u>\$ 50,000</u>	1.958%~2.705%	None

(12) Accounts payable

	<u>September 30, 2025</u>	<u>December 31, 2024</u>	<u>September 30, 2024</u>
Accounts payable	\$ 487,377	\$ 543,732	\$ 516,197
Estimated accounts payable	<u>82,291</u>	<u>60,567</u>	<u>68,309</u>
	<u>\$ 569,668</u>	<u>\$ 604,299</u>	<u>\$ 584,506</u>

(13) Other payables

	<u>September 30, 2025</u>	<u>December 31, 2024</u>	<u>September 30, 2024</u>
Salaries and bonus payable	\$ 87,161	\$ 113,397	\$ 95,749
Insurance payable	68,661	74,948	75,126
Equipment payable	53,742	17,593	12,507
Mold cost payable	37,279	51,116	45,452
Others	<u>75,613</u>	<u>84,134</u>	<u>87,102</u>
	<u>\$ 322,456</u>	<u>\$ 341,188</u>	<u>\$ 315,936</u>

(14) Long-term borrowings

<u>Type of borrowings</u>	<u>Borrowing period and repayment term</u>	<u>Interest rate range</u>	<u>Collateral</u>	<u>September 30, 2025</u>
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from December 28, 2021 to July 14, 2032; interest is payable monthly.	1.97%~6.49%	Please refer to Note 8	\$ 334,654
Less: Current portion				(58,017)
				<u>\$ 276,637</u>

<u>Type of borrowings</u>	<u>Borrowing period and repayment term</u>	<u>Interest rate range</u>	<u>Collateral</u>	<u>December 31, 2024</u>
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from December 28, 2021 to December 28, 2028; interest is payable monthly.	1.97%	Please refer to Note 8	\$ 200,000
Less: Current portion				(50,000)
				<u>\$ 150,000</u>

<u>Type of borrowings</u>	<u>Borrowing period and repayment term</u>	<u>Interest rate range</u>	<u>Collateral</u>	<u>September 30, 2024</u>
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from December 28, 2021 to December 28, 2028; interest is payable monthly.	1.97%	Please refer to Note 8	\$ 212,500
Less: Current portion				(50,000)
				<u>\$ 162,500</u>

Installment-repayment borrowings

(15) Pensions

A. Defined benefit pension plan

- (a) The Company has a defined benefit pension plan in accordance with the Labor Standards Law, covering all regular employees' service years prior to the enforcement of the Labor Pension Act on July 1, 2005 and service years thereafter of employees who chose to continue to be subject to the pension mechanism under the Law. Under the defined benefit pension plan, two units are accrued for each year of service for the first 15 years and one unit for each additional year thereafter, subject to a maximum of 45 units. Pension benefits are based on the number of units accrued and the average monthly salaries and wages of the last 6 months prior to retirement. The Company contributes monthly an amount equal to 2% of the employees' monthly salaries and wages to the retirement fund deposited with Bank of Taiwan, the trustee, under the name of the independent retirement fund committee. Also, the Company would assess the balance in the aforementioned labor pension reserve account by the end of December 31, every year. If the account balance is insufficient to pay the pension calculated by the aforementioned method to the employees expected to qualify for retirement in the following year, the Company will make contributions for the deficit by next March.

- (b) For the aforementioned pension plan, the Group recognized pension costs of (\$46), (\$29), (\$137) and (\$86) for the three months and nine months ended September 30, 2025 and 2024, respectively.
- (c) The Company has acquired the approval from the Hsinchu County Government to suspend continuous contribution to the defined benefit pension plan for 2025 and 2024.
- (d) The Company has a long-term employee benefits plan, under which employees are rewarded with a bonus, a certificate of appreciation, or a trophy upon completing every five years of service. For the employee benefits plan, the Company recognised pension costs of \$226, \$212, \$679 and \$635 for the three months and nine months ended September 30, 2025 and 2024, respectively.

B. Defined contribution pension plan

- (a) Effective July 1, 2005, the Company and its domestic subsidiaries have established a defined contribution pension plan (the “New Plan”) under the Labor Pension Act (the “Act”), covering all regular employees with R.O.C. nationality. Under the New Plan, the Company and its domestic subsidiaries contribute monthly an amount based on 6% of the employees’ monthly salaries and wages to the employees’ individual pension accounts at the Bureau of Labor Insurance. The benefits accrued are paid monthly or in lump sum upon termination of employment.
- (b) The Company’s mainland China subsidiaries have a defined contribution plan. Monthly contributions to an independent fund administered by the government in accordance with the pension regulations in the People’s Republic of China (PRC) are based on certain percentage of employees’ monthly salaries and wages. The contribution for each employee was planned by PRC government. Other than the monthly contributions, the Group has no further obligations.
- (c) The pension costs under the defined contribution pension plans of the Group for the three months and nine months ended September 30, 2025 and 2024 were \$8,787, \$8,966, \$26,464 and \$25,563, respectively.

(16) Share capital

- A. As of September 30, 2025, the Company’s authorized capital was \$2,000,000, consisting of 200,000 thousand shares of ordinary stock, and the paid-in capital was \$892,631 with a par value of \$10 (in dollars) per share. All proceeds from shares issued have been collected.

Movements in the number of the Company’s ordinary shares in thousands outstanding are as follows:

	<u>2025</u>	<u>2024</u>
At January 1	88,263	89,263
Treasury stock buyback	<u>-</u>	<u>(1,000)</u>
At September 30	<u>88,263</u>	<u>88,263</u>

- B. On March 25, 2025, the shareholders' meeting resolved not to proceed with the previously approved private placement of up to 15,000 thousand common shares or domestic convertible corporate bonds, as resolved in the shareholders' meeting on May 24, 2024. As of March 25, 2025, no private placement of common shares or domestic convertible corporate bonds had been executed under this fundraising plan.
- C. The Company's Board of Directors resolved on August 13, 2025, to conduct a cash capital increase with a maximum of 21,000 thousand ordinary shares at a par value of NT\$10 per share. The capital increase is expected to raise additional share capital of \$210,000, with an estimated issuance price of NT\$30 per share.
- D. Treasury Shares
- (a) The Company's Board of Directors approved a share buyback program on December 22, 2023 to repurchase 1,000 thousand shares during the period from December 25, 2023 to February 23, 2024. The repurchase price range is between NT\$16.65 and NT\$35.35 per share. Details are summarized below:

		September 30, 2025	
<u>Name of company holding the shares</u>	<u>Reason for reacquisition</u>	<u>Number of shares (In thousands)</u>	<u>Carrying amount</u>
The Company	To be reissued to employees	1,000	\$ 25,619

		December 31, 2024	
<u>Name of company holding the shares</u>	<u>Reason for reacquisition</u>	<u>Number of shares (In thousands)</u>	<u>Carrying amount</u>
The Company	To be reissued to employees	1,000	\$ 25,619

		September 30, 2024	
<u>Name of company holding the shares</u>	<u>Reason for reacquisition</u>	<u>Number of shares (In thousands)</u>	<u>Carrying amount</u>
The Company	To be reissued to employees	1,000	\$ 25,619

- (b) Pursuant to the R.O.C. Securities and Exchange Act, the number of shares bought back as treasury share should not exceed 10% of the number of the Company's issued and outstanding shares and the amount bought back should not exceed the sum of retained earnings, paid-in capital in excess of par value and realized capital surplus.
- (c) Pursuant to the R.O.C. Securities and Exchange Act, treasury shares should not be pledged as collateral and is not entitled to dividends before it is reissued.
- (d) Pursuant to the R.O.C. Securities and Exchange Act, treasury shares should be reissued to the employees within five years from the reacquisition date and shares not reissued within the five-year period are to be retired. Treasury shares to enhance the Company's credit rating and the stockholders' equity should be retired within six months of acquisition.

(17) Capital surplus

	<u>September 30, 2025</u>	<u>December 31, 2024</u>	<u>September 30, 2024</u>
Share premium	\$ 1,461,724	\$ 1,505,856	\$ 1,505,856
From business combinations	31,797	31,797	31,797
Treasury share transactions	76,571	76,571	76,571
Changes in ownership interests in subsidiaries	<u>-</u>	<u>7,906</u>	<u>7,906</u>
	<u>\$ 1,570,092</u>	<u>\$ 1,622,130</u>	<u>\$ 1,622,130</u>

- A. Pursuant to the R.O.C. Company Act, capital surplus arising from paid-in capital in excess of par value on issuance of common stocks and donations can be used to cover accumulated deficit or to issue new stocks or cash to shareholders in proportion to their share ownership, provided that the Company has no accumulated deficit. Further, the R.O.C. Securities and Exchange Act requires that the amount of capital surplus to be capitalized mentioned above should not exceed 10% of the paid-in capital each year. Capital surplus should not be used to cover accumulated deficit unless the legal reserve is insufficient.
- B. On April 9, 2024, the company's board of directors resolved a cash distribution of \$44,132 from the capital surplus (\$0.5 per share).
- C. On March 25, 2025, the company's board of directors resolved a cash distribution of \$44,132 from the capital surplus (\$0.5 per share).

(18) Retained earnings

- A. Under the Company's Articles of Incorporation, the current year's earnings, if any, shall first be used to pay all taxes and offset prior years' operating losses, set aside 10% of the remaining amount as legal reserve, then set aside or reverse a special reserve according to relevant regulations when necessary. The remainder, if any, to be retained or to be appropriated shall be proposed by the Board of Directors and resolved by the shareholders at the shareholders' meeting. The Board of Directors is authorized to distribute all or part of the dividends and bonuses, capital surplus or legal reserve that should be distributed in cash by a resolution approved by more than half of the directors present at a meeting with the presence of more than two-thirds of the directors. Such provisions does not require approval by the shareholders.
- B. The Company's dividend policy is summarized below: as the Company is in the stable growth stage, the residual dividend policy is adopted taking into consideration the Company's future capital expenditure plans and the financial structure. According to the dividend policy adopted by the Board of Directors, at least 1% of the Company's distributable earnings as of the end of the period shall be appropriated as cash or stock dividends, of which not more than 60% shall be paid in stock.
- C. Except for covering accumulated deficit or issuing new stocks or cash to shareholders in proportion to their share ownership, the legal reserve shall not be used for any other purpose. The use of legal reserve for the issuance of stocks or cash to shareholders in proportion to their

share ownership is permitted, provided that the distribution of the reserve is limited to the portion in excess of 25% of the Company's paid-in capital.

D. Special reserve

- (a) In accordance with the regulations, the Company shall set aside special reserve from the debit balance on other equity items at the balance sheet date before distributing earnings. When debit balance on other equity items is reversed subsequently, the reversed amount could be included in the distributable earnings.
- (b) The amounts previously set aside by the Company as special reserve on initial application of IFRSs in accordance with Order No. Financial-Supervisory-Securities-Corporate-1010012865, dated April 6, 2012, shall be reversed proportionately when the relevant assets are used, disposed of or reclassified subsequently.

E. Appropriation of earnings (Offsetting of losses)

- (a) The appropriations of 2023 earnings had been resolved at the annual shareholders' meeting on May 24, 2024. Details are summarized below:

	2023	
	Amount	Dividends per share (in dollars)
Legal reserve	\$ 7,869	
Special reserve	7,080	
Cash dividends	44,132	\$ 0.50

- (b) The offsetting of 2024 losses had been proposed at the Board of Directors' meeting on May 15, 2025. Details are summarized below:

	2024	
	Amount	Dividends per share (in dollars)
Legal reserve cover losses	(\$ 9,727)	
Reversal of special reserve	(89,208)	

(19) Other equity items

	2025		
	Unrealized gains (losses) on valuation	Currency translation	Total
At January 1	\$ -	(\$ 280,708)	(\$ 280,708)
Currency translation differences:			
–Group	-	(144,413)	(144,413)
At September 30	\$ -	(\$ 425,121)	(\$ 425,121)

	2024		
	Unrealized gains (losses) on valuation	Currency translation	Total
At January 1	\$ -	(\$ 369,916)	(\$ 369,916)
Currency translation differences:			
–Group	-	64,469	64,469
At September 30	\$ -	(\$ 305,447)	(\$ 305,447)

(20) Operating revenue

	Three months ended September 30,	
	2025	2024
Revenue from contracts with customers	\$ 741,689	\$ 851,805
	Nine months ended September 30,	
	2025	2024
Revenue from contracts with customers	\$ 2,453,659	\$ 2,401,235

A. Disaggregation of revenue from contracts with customers

The Group derives revenue from the transfer of goods at a point in time in the following geographical regions:

Three months ended September 30, 2025	Domestic	Asia	Total
Total segment revenue	\$ 351,555	\$ 482,338	\$ 833,893
Inter-segment revenue	(4)	(92,200)	(92,204)
Revenue from external customer contracts	\$ 351,551	\$ 390,138	\$ 741,689
Three months ended September 30, 2024	Domestic	Asia	Total
Total segment revenue	\$ 301,198	\$ 565,743	\$ 866,941
Inter-segment revenue	(50)	(15,086)	(15,136)
Revenue from external customer contracts	\$ 301,148	\$ 550,657	\$ 851,805
Nine months ended September 30, 2025	Domestic	Asia	Total
Total segment revenue	\$ 1,024,784	\$ 1,574,325	\$ 2,599,109
Inter-segment revenue	(2,437)	(143,013)	(145,450)
Revenue from external customer contracts	\$ 1,022,347	\$ 1,431,312	\$ 2,453,659

<u>Nine months ended September 30, 2024</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Total segment revenue	\$ 810,825	\$ 1,627,573	\$ 2,438,398
Inter-segment revenue	(4,129)	(33,034)	(37,163)
Revenue from external customer contracts	<u>\$ 806,696</u>	<u>\$ 1,594,539</u>	<u>\$ 2,401,235</u>

B. Contract liabilities

(a) The Group has recognized the following revenue-related contract liabilities:

	<u>September 30, 2025</u>	<u>December 31, 2024</u>	<u>September 30, 2024</u>	<u>January 1, 2024</u>
Contract liabilities:	\$ 2,194	\$ 1,900	\$ 7,216	\$ 4,082

(b) Revenue recognized that was included in the contract liability balance at the beginning of the year is summarized below:

	<u>Three months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Revenue recognized	\$ 142	\$ -
	<u>Nine months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Revenue recognized	\$ 142	\$ 442

(21) Interest income

	<u>Three months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Interest income from bank deposits	\$ 2,250	\$ 4,420
Interest income from financial assets at amortized cost	1	1,651
Other interest income	35	12
	<u>\$ 2,286</u>	<u>\$ 6,083</u>
	<u>Nine months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Interest income from bank deposits	\$ 8,473	\$ 12,742
Interest income from financial assets at amortized cost	3	5,756
Other interest income	85	48
	<u>\$ 8,561</u>	<u>\$ 18,546</u>

(22) Other income

	Three months ended September 30,	
	2025	2024
Subsidy income	\$ 156	\$ 1,618
Solar revenue	526	554
Molds revenue	12	129
Other income	1,627	2,024
	<u>\$ 2,321</u>	<u>\$ 4,325</u>

	Nine months ended September 30,	
	2025	2024
Subsidy income	\$ 1,479	\$ 2,995
Solar revenue	1,477	1,544
Molds revenue	2,087	1,081
Other income	3,821	4,831
	<u>\$ 8,864</u>	<u>\$ 10,451</u>

(23) Other gains and losses

	Three months ended September 30,	
	2025	2024
Gain on disposal of property, plant and equipment	\$ 82	\$ 1,808
Foreign exchange gains (losses)	7,563 (	11,557)
Gain on financial assets and liabilities at fair value through profit or loss	2,208	3,021
Miscellaneous disbursements	(956) (	828)
	<u>(\$ 8,897)</u>	<u>(\$ 7,556)</u>

	Nine months ended September 30,	
	2025	2024
Gain on disposal of property, plant and equipment	638	3,698
Gain on lease modification	3	-
Impairment loss recognized in profit or loss, property, plant and equipment	- (	2,263)
Foreign exchange (losses) gains	(14,028)	14,984
Gain (loss) on financial assets and liabilities at fair value through profit or loss	8,191 (	17,773)
Miscellaneous disbursements	(1,613) (	1,388)
	<u>(\$ 6,809)</u>	<u>(\$ 2,742)</u>

(24) Finance costs

	<u>Three months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Interest expense from bank borrowings	\$ 2,669	\$ 1,348
Interest expense from lease liabilities	195	372
	<u>\$ 2,864</u>	<u>\$ 1,720</u>

	<u>Nine months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Interest expense from bank borrowings	\$ 4,998	\$ 4,083
Interest expense from lease liabilities	651	1,221
	<u>\$ 5,649</u>	<u>\$ 5,304</u>

(25) Expenses by nature

	<u>Three months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Employee benefit expense		
Wages and salaries	\$ 171,910	\$ 175,816
Labour and health insurance fees	13,556	14,314
Pension costs	8,967	9,149
Other personnel expenses	11,003	10,819
	<u>\$ 205,436</u>	<u>\$ 210,098</u>
Depreciation charges on property, plant and equipment	\$ 37,057	\$ 36,234
Depreciation charges on right-of-use assets	6,041	7,081
Amortization charges on intangible asset	1,018	601
Amortization charges on molds	1,635	1,883

	<u>Nine months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Employee benefit expense		
Wages and salaries	\$ 512,672	\$ 511,121
Labour and health insurance fees	40,982	40,791
Pension costs	27,006	26,112
Other personnel expenses	31,259	30,803
	<u>\$ 611,919</u>	<u>\$ 608,827</u>
Depreciation charges on property, plant and equipment	\$ 112,125	\$ 107,487
Depreciation charges on right-of-use assets	18,382	23,150
Amortization charges on intangible asset	3,029	1,804
Amortization charges on molds	6,793	8,196

(26) Employee benefit expense

- A. In accordance with the Articles of Incorporation of the Company, a ratio of profit before tax, before the distribution of employees' compensation and directors' remuneration, of the current year, after covering accumulated losses, shall be distributed as employees' compensation and directors' remuneration. The ratio shall not be lower than 8% for employees' compensation and shall not be higher than 3% for directors' remuneration. Employees' compensation may be paid in the form of shares or in cash, and employees from affiliated companies who meet certain conditions are entitled to the distribution.
- B. For the three months and nine months ended September 30, 2025 and 2024, the Company had a net loss before income tax, therefore, the Company did not accrue employees' compensation and directors' remuneration at the end of reporting period.
- C. Information about employees' compensation and directors' remuneration of the Company as resolved at the meeting of Board of Directors and Shareholders will be posted in the "Market Observation Post System" at the website of the Taiwan Stock Exchange.

(27) Income tax

A. Components of income tax expense

	<u>Three months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Current tax:		
Current tax for the period	\$ 1,626	\$ 5,213
Prior year income tax (over) under estimation	(7)	30
Total current tax	<u>1,619</u>	<u>5,243</u>
Deferred tax:		
Origination and reversal of temporary differences	(7,657)	3,505
Income tax (benefit) expense	<u>(\$ 6,038)</u>	<u>\$ 8,748</u>
	<u>Nine months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Current tax:		
Current tax for the period	\$ 25,662	\$ 55,545
Prior year income tax under estimation	384	8,060
Total current tax	<u>26,046</u>	<u>63,605</u>
Deferred tax:		
Origination and reversal of temporary differences	(16,440)	(35,440)
Income tax expense	<u>\$ 9,606</u>	<u>\$ 28,165</u>

- B. The Company's income tax returns through 2023 have been assessed and approved by the Tax Authority.
- C. The domestic subsidiaries' income tax returns through 2023 have been assessed and approved by the Tax Authority.

(28) Loss per share

Three months ended September 30, 2025			
	Loss for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Loss per share (in dollars)
<u>Basic and diluted loss per share</u>			
Loss attributable to the parent	(\$ 65,558)	88,263	(\$ 0.74)
Three months ended September 30, 2024			
	Loss for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Loss per share (in dollars)
<u>Basic and diluted loss per share</u>			
Loss attributable to the parent	(\$ 44,126)	88,263	(\$ 0.50)
Nine months ended September 30, 2025			
	Loss for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Loss per share (in dollars)
<u>Basic and diluted loss per share</u>			
Loss attributable to the parent	(\$ 102,237)	88,263	(\$ 1.16)
Nine months ended September 30, 2024			
	Loss for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Loss per share (in dollars)
<u>Basic and diluted loss per share</u>			
Loss attributable to the parent	(\$ 71,841)	88,321	(\$ 0.81)

(29) Supplemental cash flow information

A. Investing activities with partial cash payments:

Nine months ended September 30,		
	2025	2024
Purchase of property, plant and equipment	\$ 223,889	\$ 143,018
Add: Opening balance of payable on equipment	17,593	11,381
Opening balance of payable on construction	696	627
Less: Ending balance of payable on equipment	(53,742)	(12,507)
Ending balance of payable on construction	(1,634)	(649)
Cash paid during the year	<u>\$ 186,802</u>	<u>\$ 141,870</u>

(30) Changes in liabilities from financing activities

2025					
	Short-term <u>borrowings</u>	Long-term <u>borrowings</u>	Lease <u>liabilities</u>	Guarantee deposit <u>received</u>	<u>Total</u>
At January 1	\$ 45,000	\$ 200,000	\$ 41,158	\$ 1,375	\$ 287,533
Changes in cash flow from financing activities	-	138,111	(21,125)	-	116,986
Changes in other non-cash items	-	-	2,156	-	2,156
Impact of changes in foreign exchange rate	-	(3,457)	(603)	(35)	(4,095)
At September 30	<u>\$ 45,000</u>	<u>\$ 334,654</u>	<u>\$ 21,586</u>	<u>\$ 1,340</u>	<u>\$ 402,580</u>

2024					
	Short-term <u>borrowings</u>	Long-term <u>borrowings</u>	Lease <u>liabilities</u>	Guarantee deposit <u>received</u>	<u>Total</u>
At January 1	\$ 45,000	\$ 257,633	\$ 54,997	\$ 1,192	\$ 358,822
Changes in cash flow from financing activities	5,000	(45,133)	(22,497)	161	(62,469)
Changes in other non-cash items	-	-	15,577	-	15,577
Impact of changes in foreign exchange rate	-	-	632	17	649
At September 30	<u>\$ 50,000</u>	<u>\$ 212,500</u>	<u>\$ 48,709</u>	<u>\$ 1,370</u>	<u>\$ 312,579</u>

7. Related Party Transactions

(1) Names of related parties and relationship

<u>Names of related parties</u>	<u>Relationship with the Group</u>
Shin Zu Shing Co., Ltd.	Other related party

(2) Significant related party transactions

A. Operating revenue:

	<u>Three months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Sales of goods:		
Other related parties	<u>(\$ 42)</u>	<u>\$ 2,210</u>
	<u>Nine months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Sales of goods:		
Other related parties	<u>\$ 1,601</u>	<u>\$ 4,738</u>

There is no significant difference between the sales price and credit terms from non-related parties.

B. Lease transactions-lessee

- (a) The Company leases a property from Shin Zu Shing Co., Ltd., with a lease term from January 1, 2023, to December 31, 2023. The monthly rental, management fees, and other expenses advanced by related parties are paid on a monthly basis. The lease agreement includes a priority right of renewal. Based on our medium-term operational planning period of 3 years, the right-of-use asset acquired amounts to \$44,436. The amount does not exceed the price assessed according to the “Regulations Governing the Acquisition and Disposal of Assets by Public Companies”, which is \$46,657.
- (b) On December 22, 2023, by resolution of the Board of Directors, the Company has decided to re-sign the building lease agreement with Shin Zu Shing Co., Ltd. The lease period is from January 1, 2024 to December 31, 2026, and the Company will have the preferential lease right upon expiration. The right-of-use assets increased by \$14,356. Increased to book value \$43,980. The amount does not exceed the price assessed according to the “Regulations Governing the Acquisition and Disposal of Assets by Public Companies”, which is \$46,401.
- (c) On January 1, 2025, the Company adjusted the monthly lease payments under the original lease agreement based on the consumer price index. The newly recognized right-of-use asset amounted to \$557, resulting in a total carrying amount of \$29,877.

(d) Right-of-use assets

A. Carrying amount

	<u>September 30, 2025</u>	<u>December 31, 2024</u>	<u>September 30, 2024</u>
Shin Zu Shing Co., Ltd.	\$ <u>18,673</u>	\$ <u>29,320</u>	\$ <u>32,984</u>

B. Depreciation charge

	<u>Three months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Shin Zu Shing Co., Ltd.	\$ <u>3,735</u>	\$ <u>3,666</u>
	<u>Nine months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Shin Zu Shing Co., Ltd.	\$ <u>11,204</u>	\$ <u>10,996</u>

(e) Lease liabilities

A. Carrying amount

	<u>September 30, 2025</u>	<u>December 31, 2024</u>	<u>September 30, 2024</u>
Shin Zu Shing Co., Ltd.	\$ <u>19,062</u>	\$ <u>29,725</u>	\$ <u>33,366</u>

B. Interest expense

	<u>Three months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Shin Zu Shing Co., Ltd.	\$ <u>103</u>	\$ <u>161</u>
	<u>Nine months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Shin Zu Shing Co., Ltd.	\$ <u>364</u>	\$ <u>532</u>

(f) Rent expense, administration expense and reimbursed expense

	<u>Three months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Shin Zu Shing Co., Ltd.	\$ <u>1,292</u>	\$ <u>940</u>
	<u>Nine months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Shin Zu Shing Co., Ltd.	\$ <u>2,727</u>	\$ <u>2,267</u>

D. Receivable from related parties

	<u>September 30, 2025</u>	<u>December 31, 2024</u>	<u>September 30, 2024</u>
Accounts receivable:	\$ <u>-</u>	\$ <u>2,549</u>	\$ <u>2,256</u>
Other related parties			

E. Payables to related parties

	<u>September 30, 2025</u>	<u>December 31, 2024</u>	<u>September 30, 2024</u>
Other payables:			
Other related parties	<u>\$ 503</u>	<u>\$ 217</u>	<u>\$ 388</u>

(3) Key management compensation

	<u>Three months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Short-term employee benefits	\$ 5,143	\$ 4,701
Post-employment benefits	<u>313</u>	<u>123</u>
	<u>\$ 5,456</u>	<u>\$ 4,824</u>
	<u>Nine months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Short-term employee benefits	\$ 15,244	\$ 14,867
Post-employment benefits	<u>569</u>	<u>429</u>
	<u>\$ 15,813</u>	<u>\$ 15,296</u>

8. Pledged Assets

The Group's assets pledged as collateral are as follows:

	<u>Book value</u>			
<u>Pledged asset</u>	<u>September 30, 2025</u>	<u>December 31, 2024</u>	<u>September 30, 2024</u>	<u>Purpose</u>
Financial assets at amortized cost - current	\$ 257	\$ 547	\$ 542	Bank secured borrowings and customs guarantee
Financial assets at amortized cost - non-current	358	-	-	Contract bond
Property, plant, and equipment				
Land	273,059	273,059	273,059	Bank secured borrowings
Buildings and structures	281,545	136,646	138,964	Bank secured borrowings
Other non-current assets				
Guarantee deposits paid	9,996	9,720	9,519	Rental deposit

9. Significant Contingent Liabilities and Unrecognized Contract Commitments

Commitments

As of September 30, 2025, the Group had opened unused letters of credit for importing inventories and equipment of \$757.

10. Significant Disaster Loss

None.

11. Significant Events after the Balance Sheet Date

None.

12. Others

(1) Capital management

The current period did not involve significant transactions or material changes, please refer to Note 12 of the consolidated financial statements for the year ended December 31, 2024.

(2) Financial instruments

A. Financial instruments by category

	<u>September 30, 2025</u>	<u>December 31, 2024</u>	<u>September 30, 2024</u>
<u>Financial assets</u>			
Financial assets mandatorily measured \$ at fair value through profit or loss (current and non-current)	36,816	\$ 30,477	\$ 39,028
Financial assets at fair value through other comprehensive income	8,544	8,778	8,665
Financial assets at amortized cost			
Cash and cash equivalents	781,239	1,120,889	1,033,625
Financial assets at amortized cost (current and non-current)	615	547	131,908
Notes receivable, net	32,757	22,726	22,256
Accounts receivable, net	1,056,848	1,124,521	1,096,963
Accounts receivable-related party	-	2,549	2,256
Other receivables	152,195	128,642	126,313
Finance lease receivable, net (current and non-current)	-	1,769	1,734
Guarantee deposits paid	9,996	9,720	9,519
	<u>\$ 2,079,010</u>	<u>\$ 2,450,618</u>	<u>\$ 2,472,267</u>
<u>Financial liabilities</u>			
Financial liabilities mandatorily measured at fair value through profit or loss	\$ 3,019	\$ 5,710	\$ -
Financial liabilities at amortized cost			
Short-term borrowings	45,000	45,000	50,000
Accounts payable	569,668	604,299	584,506
Other payables	322,456	341,188	315,936
Other payables-related party	503	217	388
Long-term borrowings (including current portion)	334,654	200,000	212,500
Guarantee deposits received	1,340	1,375	1,370
	<u>\$ 1,276,640</u>	<u>\$ 1,197,789</u>	<u>\$ 1,164,700</u>
Lease liabilities (current and non-current)	<u>\$ 21,586</u>	<u>\$ 41,158</u>	<u>\$ 48,709</u>

B. Financial risk management policies

The current period did not involve significant transactions or material changes, please refer to Note 12 of the consolidated financial statements for the year ended December 31, 2024.

C. Significant financial risks and degrees of financial risks

(a) Market risk

Foreign exchange risk

- i. The Group engages in sales and purchases denominated in foreign currencies and are exposed to exchange rate fluctuations. The Group manages exchange rate risks within the scope permitted by the policy, using forward foreign exchange contracts to manage risks.
- ii. The Group's businesses involve some non-functional currency operations (the Company's and domestic subsidiaries' functional currency: NTD; other certain subsidiaries' functional currency: RMB, USD, and VND). The information on assets and liabilities denominated in foreign currencies whose values would be materially affected by the exchange rate fluctuations is as follows:

September 30, 2025				
(Foreign currency: functional currency)	Foreign currency amount		Book value	
	(In thousands)	Exchange rate	(NTD)	
<u>Financial assets</u>				
<u>Monetary items</u>				
USD:NTD	\$	8,960	30.4450	\$ 272,787
USD:RMB		13,700	7.1055	417,097
USD:VND		5,061	26,341	154,082
<u>Financial liabilities</u>				
<u>Monetary items</u>				
USD:NTD	\$	458	30.4450	\$ 13,944
USD:RMB		356	7.1055	10,838
USD:VND		2,512	26,341	76,478

December 31, 2024			
(Foreign currency: functional currency)	Foreign currency amount		Book value
	(In thousands)	Exchange rate	(NTD)
<u>Financial assets</u>			
<u>Monetary items</u>			
USD:NTD	\$ 6,852	32.7850	\$ 224,643
USD:RMB	13,428	7.1880	440,237
USD:VND	3,733	24,335	122,386
<u>Financial liabilities</u>			
<u>Monetary items</u>			
USD:NTD	\$ 489	32.7850	\$ 16,032
USD:RMB	2,242	7.1880	73,504
USD:VND	906	24,335	29,703
September 30, 2024			
(Foreign currency: functional currency)	Foreign currency amount		Book value
	(In thousands)	Exchange rate	(NTD)
<u>Financial assets</u>			
<u>Monetary items</u>			
USD:NTD	\$ 6,662	31.6500	\$ 210,852
USD:RMB	14,163	7.1049	448,259
USD:VND	3,530	24,093	111,725
<u>Financial liabilities</u>			
<u>Monetary items</u>			
USD:NTD	\$ 648	31.6500	\$ 20,509
USD:RMB	2,569	7.1049	81,309
USD:VND	804	24,093	25,447

- iii. Total exchange gains, including realized and unrealized, arising from significant foreign exchange variation on the monetary items held by the Group for the three months and nine months ended September 30, 2025 and 2024, amounted to \$7,563 、(\$11,557) 、(\$14,028) and \$14,984 respectively.

iv. Analysis of foreign currency market risk arising from significant foreign exchange variation:

Nine months ended September 30, 2025				
Sensitivity analysis				
	Degree of variation	Effect on profit or loss	Effect on other comprehensive income	
(Foreign currency: functional currency)				
<u>Financial assets</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 2,728	\$	-
USD:RMB	1%	4,171		-
USD:VND	1%	1,541		-
<u>Financial liabilities</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 139	\$	-
USD:RMB	1%	108		-
USD:VND	1%	765		-

Nine months ended September 30, 2024				
Sensitivity analysis				
	Degree of variation	Effect on profit or loss	Effect on other comprehensive income	
(Foreign currency: functional currency)				
<u>Financial assets</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 2,109	\$	-
USD:RMB	1%	4,483		-
USD:VND	1%	1,117		-
<u>Financial liabilities</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 205	\$	-
USD:RMB	1%	813		-
USD:VND	1%	254		-

Cash flow and fair value interest rate risk

- i. The Group's main interest rate risk arises from long-term borrowings with variable rates, which expose the Group to cash flow interest rate risk. For the nine months ended September 30, 2025 and 2024, the Group's borrowings at variable rate were mainly denominated in New Taiwan dollars.

- ii. If the borrowing interest rate of New Taiwan dollars had increased/decreased by 4 basis points with all other variables held constant, profit, net of tax for the nine months ended September 30, 2025 and 2024 would have increased/decreased by \$ 2,677 and \$ 1,700, respectively. The main factor is that changes in interest expense result from floating rate borrowings.

(b) Credit risk

- i. Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Group. As at the end of the reporting period, the Group's maximum exposure to credit risk which will cause a financial loss to the Group due to default by the counterparties and financial guarantees provided by the Group arises from:
 - (i) The carrying amount of the respective recognized financial assets as stated in the balance sheets;
 - (ii) The amount of contingent liabilities in relation to financial guarantee issued by the Group.
- ii. In order to mitigate the credit risk, the Group will conduct credit rating for the transaction object and obtain sufficient security if necessary to mitigate the risk of financial loss due to default. If such information is not available, the Group will use other publicly available financial information and mutual transaction records to rate key customers. The Group will continue to monitor the credit risk and the credit rating of the counterparty through the determination of the credit line and the approval of the credit line. In addition, the Group reviews the recoverable amounts of receivables individually at the balance sheet date to ensure that appropriate impairment losses have been provided for unrecoverable receivables. Accordingly, the Group's management believes that the Group's credit risk has been significantly reduced.
- iii. The Group adopts the following assumption under IFRS 9 to assess whether there has been a significant increase in credit risk on that instrument since initial recognition: If the contract payments were past due over 90 days based on the terms, there has been a significant increase in credit risk on that instrument since initial recognition.
- iv. In line with credit risk management procedure, when there is evidence that the counterparty faces serious financial difficulties and the Group cannot reasonably expect to recover the amount, for example, the counterparty is in liquidation, the Group considers that the counterparty has signs of default.
- v. The Group wrote-off the financial assets, which cannot be reasonably expected to be recovered, after initiating recourse procedures. However, the Group will continue executing the recourse procedures to secure their rights.

vi. The Group applies the modified approach using a provision matrix to estimate expected credit loss under the provision matrix basis. Based on the Group's historical experience, there is no significant difference in the loss patterns among different customer groups. The provision matrix does not further differentiate customer groups, and only sets the expected credit loss rate based on the number of days overdue for receivable, except for individual cases that need to be evaluated separately.

vii. The Group used the forecastability to adjust historical and timely information to assess the default possibility of accounts receivable. On September 30, 2025, December 31, 2024 and September 30, 2024, the provision matrix is as follows:

<u>September 30, 2025</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%~0.03%	\$ 1,010,998	\$ -
Up to 90 days	0%~0.03%	45,850	-
Over 91 days	100%	<u>942</u>	<u>942</u>
		<u>\$ 1,057,790</u>	<u>\$ 942</u>

<u>December 31, 2024</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%~0.03%	\$ 1,112,733	\$ -
Up to 90 days	0%~0.03%	11,788	-
Over 91 days	100%	<u>2,206</u>	<u>2,206</u>
		<u>\$ 1,126,727</u>	<u>\$ 2,206</u>

<u>September 30, 2024</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%~0.03%	\$ 1,074,590	\$ -
Up to 90 days	0%~0.03%	22,373	-
Over 91 days	100%	<u>11,112</u>	<u>11,112</u>
		<u>\$ 1,108,075</u>	<u>\$ 11,112</u>

viii. Movements in relation to the Group applying the modified approach to provide loss allowance for accounts receivable and molds receivable are as follows:

	<u>2025</u>		
	<u>Accounts receivable</u>	<u>Molds receivable</u>	<u>Total</u>
At January 1	\$ 2,206	\$ -	\$ 2,206
Reversal of impairment loss	(1,227)	-	(1,227)
Effect of foreign rate exchange	(37)	-	(37)
At September 30	<u>\$ 942</u>	<u>\$ -</u>	<u>\$ 942</u>

	2024		
	Accounts receivable	Molds receivable	Total
At January 1	\$ 578	\$ 6,007	\$ 6,585
Provision (reversal) of impairment loss	10,510 (	4,794)	5,716
Effect of foreign rate exchange	24	241	265
At September 30	<u>\$ 11,112</u>	<u>\$ 1,454</u>	<u>\$ 12,566</u>

(c) Liquidity risk

- i. Cash flow forecasting is performed in the operating entities of the Group and aggregated by the Group's Corporate Treasury function. The Group's Corporate Treasury function monitors rolling forecasts of the Group's liquidity requirements to ensure it has sufficient cash to meet operational needs while maintaining sufficient headroom on its undrawn committed borrowing facilities at all times so that the Group does not breach borrowing limits or covenants on any of its borrowing facilities. Such forecasting takes into consideration the Group's debt financing plans, covenant compliance, compliance with internal balance sheet ratio targets and external regulatory or legal requirements.
- ii. The Group has the following undrawn borrowing facilities:

	<u>September 30, 2025</u>	<u>December 31, 2024</u>	<u>September 30, 2024</u>
Floating rate:			
Expiring within one year	\$ 1,458,634	\$ 1,990,909	\$ 1,952,916
Expiring beyond one year	122,324	-	-

- iii. The table below analyses the Group's non-derivative financial liabilities into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date. The amounts disclosed in the table are the contractual undiscounted cash flows.

	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
<u>September 30, 2025</u>				
<u>Non-derivative financial liabilities</u>				
Short-term borrowings	\$ 45,069	\$ -	\$ -	\$ -
Accounts payable	569,668	-	-	-
Other payables	322,456	-	-	-
Other payables-related parties	503	-	-	-
Lease liabilities	17,096	4,586	271	-
Long-term borrowings (including current portion)	67,516	95,123	160,594	43,673
Guarantee deposits received	1,340	-	-	-
<u>Derivative financial liabilities</u>				
Forward foreign exchange contracts	\$ 3,019	\$ -	\$ -	\$ -
	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
<u>December 31, 2024</u>				
<u>Non-derivative financial liabilities</u>				
Short-term borrowings	\$ 45,036	\$ -	\$ -	\$ -
Accounts payable	604,299	-	-	-
Other payables	341,188	-	-	-
Other payables-related parties	217	-	-	-
Lease liabilities	25,295	16,524	214	-
Long-term borrowings (including current portion)	53,940	53,940	107,858	-
Guarantee deposits received	1,375	-	-	-
<u>Derivative financial liabilities</u>				
Forward foreign exchange contracts	\$ 5,710	\$ -	\$ -	\$ -
	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
<u>September 30, 2024</u>				
<u>Non-derivative financial liabilities</u>				
Short-term borrowings	\$ 50,130	\$ -	\$ -	\$ -
Accounts payable	584,506	-	-	-
Other payables	315,936	-	-	-
Other payables-related parties	388	-	-	-
Lease liabilities	27,067	18,391	4,467	-
Long-term borrowings (including current portion)	54,186	54,186	121,905	-
Guarantee deposits received	1,370	-	-	-

(3) Fair value information

A. The different levels that the inputs to valuation techniques are used to measure fair value of

financial and non-financial instruments have been defined as follows:

- Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date. A market is regarded as active where a market in which transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. The Group has no related investment.
- Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly. The fair value of the Group's investment in derivative instruments is included in Level 2.
- Level 3: Unobservable inputs for the asset or liability. The fair value of the Group's investment in equity investment without active market is included in Level 3.
- B. Except for those listed in the table below, the carrying amounts of cash and cash equivalents, notes receivable, net, accounts receivable, net (including related parties), finance lease receivable, net, other receivables, guarantee deposits paid, short-term borrowings, accounts payable (including related parties), other payables (including related parties), lease liabilities, long-term borrowings (including current portion), and guarantee deposits received are approximate to their fair values.
- C. The related information on financial instruments measured at fair value by level on the basis of the nature, characteristics and risks of the assets and liabilities is as follows:
- (a) The related information on the nature of the assets and liabilities is as follows:

<u>September 30, 2025</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
Assets				
<u>Recurring fair value measurements</u>				
Financial assets at fair value through profit or loss				
Forward foreign exchange contracts	\$ -	\$ 1,826	\$ -	\$ 1,826
Private equity fund	-	-	34,990	34,990
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	8,544	8,544
	<u>\$ -</u>	<u>\$ 1,826</u>	<u>\$ 43,534</u>	<u>\$ 45,360</u>

LiabilitiesRecurring fair value measurements

Financial liabilities at fair value through profit or loss

Forward foreign exchange contracts	\$ -	\$ 3,019	\$ -	\$ 3,019
December 31, 2024	Level 1	Level 2	Level 3	Total

AssetsRecurring fair value measurements

Financial assets at fair value through profit or loss

Private equity fund \$ - \$ - \$ 30,477 \$ 30,477

Financial assets at fair value through other comprehensive income

Equity instruments - - 8,778 8,778

\$ - \$ - \$ 39,255 \$ 39,255

LiabilitiesRecurring fair value measurements

Financial liabilities at fair value through profit or loss

Forward foreign exchange contracts \$ - \$ 5,710 \$ - \$ 5,710

September 30, 2024	Level 1	Level 2	Level 3	Total
--------------------	---------	---------	---------	-------

AssetsRecurring fair value measurements

Financial assets at fair value through profit or loss

Forward foreign exchange contracts \$ - \$ 8,185 \$ - \$ 8,185

Private equity fund - - 30,843 30,843

Financial assets at fair value through other comprehensive income

Equity instruments - - 8,665 8,665

\$ - \$ 8,185 \$ 39,508 \$ 47,693

(b) The methods and assumptions the Group used to measure fair value are as follows:

- i. Except for financial instruments with active markets, the fair value of other financial instruments is measured by using valuation techniques or by reference to counterparty quotes. The fair value of financial instruments measured by using valuation techniques can be referred to current fair value of instruments with similar terms and characteristics in substance, discounted cash flow method or other valuation methods, including calculated by applying model using market information available at the consolidated balance sheet date.
- ii. When assessing non-standard and low-complexity financial instruments, for example, interest rate swap contracts and foreign exchange swap contracts, the Group adopts

valuation technique that is widely used by market participants. The inputs used in the valuation method to measure these financial instruments are normally observable in the market.

- iii. The valuation of derivative financial instruments is based on valuation model widely accepted by market participants, such as present value techniques and option pricing models. Forward exchange contracts are usually valued based on the current forward exchange rate.
 - iv. The output of valuation model is an estimated value and the valuation technique may not be able to capture all relevant factors of the Group's financial and non-financial instruments. Therefore, the estimated value derived using valuation model is adjusted accordingly with additional inputs, for example, model risk or liquidity risk and etc. In accordance with the Group's management policies and relevant control procedures relating to the valuation models used for fair value measurement, management believes adjustment to valuation is necessary in order to reasonably represent the fair value of financial and non-financial instruments at the consolidated balance sheet. The inputs and pricing information used during valuation are carefully assessed and adjusted based on current market conditions.
- D. For the nine months ended September 30, 2025 and 2024, there was no transfer between Level 1 and Level 2.
- E. The following chart is the movement of Level 3 for the nine months ended September 30, 2025 and 2024:

	Equity instrument	
	2025	2024
At January 1	\$ 39,255	\$ 28,173
Recognized in profit or loss	4,513	(3,260)
Acquired during the period	-	14,500
Effect of exchange rate changes	(234)	95
At September 30	<u>\$ 43,534</u>	<u>\$ 39,508</u>

- F. Information relating to transfer out amounting to \$0 from Level 3 for the nine months ended September 30, 2025 and 2024 is provided.
- G. Investing segment is in charge of valuation procedures for fair value measurements being categorised within Level 3, which is to verify independent fair value of financial instruments. Such assessment is to ensure the valuation results are reasonable by applying independent information to make results close to current market conditions, confirming the resource of information is independent, reliable and in line with other resources and represented as the exercisable price, and frequently calibrating valuation model, performing back-testing, updating inputs used to the valuation model and making any other necessary adjustments to the fair value. Investment segment set up valuation policies, valuation processes and rules for measuring fair

value of financial instruments and ensure compliance with the related requirements in IFRS.

H. The following is the qualitative information of significant unobservable inputs and sensitivity analysis of changes in significant unobservable inputs to valuation model used in Level 3 fair value measurement:

	<u>September 30, 2025</u>	<u>Valuation technique</u>	<u>Significant unobservable input</u>	<u>Range (weighted average)</u>	<u>Relationship of inputs to fair value</u>
Non-derivative equity instrument:					
Unlisted shares	\$ 8,544	Market comparable companies	Price to earnings ratio multiple, discount for lack of marketability	Not applicable	The higher the multiple, the higher the fair value; the higher the discount for lack of marketability, the lower the fair value.
Private equity fund	34,990	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.
	<u>December 31, 2024</u>	<u>Valuation technique</u>	<u>Significant unobservable input</u>	<u>Range (weighted average)</u>	<u>Relationship of inputs to fair value</u>
Non-derivative equity instrument:					
Unlisted shares	\$ 8,778	Market comparable companies	Price to earnings ratio multiple, discount for lack of marketability	Not applicable	The higher the multiple, the higher the fair value; the higher the discount for lack of marketability, the lower the fair value.
Private equity fund	30,477	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

	<u>September 30, 2024</u>	<u>Valuation technique</u>	<u>Significant unobservable input</u>	<u>Range (weighted average)</u>	<u>Relationship of inputs to fair value</u>
Non-derivative equity instrument:					
Unlisted shares	\$ 8,665	Market comparable companies	Price to earnings ratio multiple, discount for lack of marketability	Not applicable	The higher the multiple, the higher the fair value; the higher the discount for lack of marketability, the lower the fair value.
Private equity fund	30,843	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

13. Supplementary Disclosures

(1) Significant transactions information

- A. Loans to others: Refer to table 1.
- B. Provision of endorsements and guarantees to others: Refer to table 2.
- C. Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures): Refer to table 3.
- D. Acquisition or sale of the same security with the accumulated cost exceeding \$300 million or 20% of the Company's paid-in capital: None.
- E. Receivables from related parties reaching \$100 million or 20% of paid-in capital or more: None.
- F. Significant inter-company transactions during the reporting period: None

(2) Information on investees

Names, locations and other information of investee companies (not including investees in Mainland China): Refer to table 4.

(3) Information on investments in Mainland China

- A. Basic information: Refer to table 5.
- B. Significant transactions, either directly or indirectly through a third area, with investee companies in the Mainland Area: None.

14. Segment Information

(1) General information

- A. Management has determined the reportable operating segments based on the reports reviewed by Board of Directors that are used to make strategic decisions.
- B. There is no material change in the basis for formation of entities and division of segments in the Group or in the measurement basis for segment information during this period.

(2) Information about segment profit or loss, assets and liabilities

The segment information provided to the chief operating decision-maker for the reportable segments is as follows:

<u>Three months ended September 30, 2025</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Revenue from external customers	\$ 351,551	\$ 390,138	\$ 741,689
Inter-segment revenue (Note)	4	92,200	92,204
Total segment revenue	<u>\$ 351,555</u>	<u>\$ 482,338</u>	<u>\$ 833,893</u>
Segment (loss) income	(\$ 74,227)	(\$ 25,882)	(\$ 100,109)

<u>Three months ended September 30, 2024</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Revenue from external customers	\$ 301,148	\$ 550,657	\$ 851,805
Inter-segment revenue (Note)	50	15,086	15,136
Total segment revenue	<u>\$ 301,198</u>	<u>\$ 565,743</u>	<u>\$ 866,941</u>
Segment (loss) income	(\$ 54,011)	\$ 9,610	(\$ 44,401)

<u>Nine months ended September 30, 2025</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Revenue from external customers	\$ 1,022,347	\$ 1,431,312	\$ 2,453,659
Inter-segment revenue (Note)	2,437	143,013	145,450
Total segment revenue	<u>\$ 1,024,784</u>	<u>\$ 1,574,325</u>	<u>\$ 2,599,109</u>
Segment (loss) income	(\$ 125,571)	(\$ 8,740)	(\$ 134,311)

<u>Nine months ended September 30, 2024</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Revenue from external customers	\$ 806,696	\$ 1,594,539	\$ 2,401,235
Inter-segment revenue (Note)	4,129	33,034	37,163
Total segment revenue	<u>\$ 810,825</u>	<u>\$ 1,627,573</u>	<u>\$ 2,438,398</u>
Segment (loss) income	(\$ 162,617)	\$ 76,324	(\$ 86,293)

Note: Sales between segments are carried out at arm's length.

(3) Reconciliation for segment income (loss)

A. The revenue from external customers reported to the chief operating decision-maker is measured in a manner consistent with that in the statement of comprehensive income.

B. A reconciliation of reportable segment income or loss to the income (loss) before tax from continuing operations for the three months and nine months ended September 30, 2025 and 2024 is provided as follows:

	<u>Three months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Reportable segments gain (loss)	(\$ 100,109)	(\$ 44,401)
Total non-operating income and expenses	<u>10,640</u>	<u>1,132</u>
Gain (loss) income before tax from continuing operations	<u>(\$ 89,469)</u>	<u>(\$ 43,269)</u>
	<u>Nine months ended September 30,</u>	
	<u>2025</u>	<u>2024</u>
Reportable segments gain (loss)	(\$ 134,311)	(\$ 86,293)
Total non-operating income and expenses	<u>4,967</u>	<u>20,951</u>
Gain (loss) income before tax from continuing operations	<u>(\$ 129,344)</u>	<u>(\$ 65,342)</u>

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Loans to others

Nine months ended September 30, 2025

Table 1

Expressed in thousands of NTD
(Except as otherwise indicated)

No. (Note 1)	Creditor	Borrower	General ledger account	Is a related party	Maximum Balance for the Period	Ending Balance (Note 2)	Actual amount drawn down	Interest rate	Nature of loan (Note 3)	Amount of transactions with the borrower	Reason for short-term financing	Allowance for doubtful accounts	Collateral		Limit on loans granted to a single party (Note 1)	Ceiling on total loans granted (Note 1)	Footnote
													Item	Value			
0	The Company	eBio International	Other receivables - related parties	Yes	\$ 40,000	\$ 40,000	\$ -	-	2	\$ -	Operating cycle	\$ -	Promissory note	\$ 40,000	\$ 465,310	\$ 930,621	

Note 1: According to the parent company's "Management policies on financing provided to Others "

(1) For individual companies, the loan shall not exceed 20% of the net value of the lender's most recent financial statements.

(2) The total amount of loan and loan shall not exceed 40% of the net value of the latest financial statement of the lender.

Note 2: Pursuant to paragraph 2 of article 14 in Regulations Governing Loaning of Funds and Making of Endorsements/Guarantees by Public Companies, loans of funds between the public company and its related parties shall be submitted for a resolution by the board of directors, and the chairman may be authorised, within a certain monetary limit resolved by the board of directors, and within a period not to exceed one year, to give loans in installments or to make a revolving credit line available for the counterparty to draw down. Such loan monetary limit is disclosed herein.

Note 3: Nature of Loan

(1) For operational or transaction purposes.

(2) For short-term financial needs.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Endorsements/Guarantees provided

Nine months ended September 30, 2025

Table 2

Expressed in thousands of NTD

(Except as otherwise indicated)

No.	Endorser/Guar	Endorsee/Guarantee		Limit on Endorsement/ Guarantee Given on Behalf of Each Party (Note 2)	Maximum Amount Endorsed/ Guaranteed During the Period	Outstanding Endorsement/ Guarantee at the End of the Period	Actual Amount Borrowed	Amount Endorsed/ Guaranteed by Collateral	Ratio of Accumulated Endorsement/Guarantee to Net Equity in Latest Financial Statements (%)	Aggregate Endorsement/ Guarantee Limit (Note 2)	Endorsement/ Guarantee Given by Parent on Behalf of Subsidiaries	Endorsement/ Guarantee Given by Subsidiaries on Behalf of Parent	Endorsement/ Guarantee Given on Behalf of Companies in Mainland China	Footnote
		Name	Relationship											
0	The Company	eBio Technology	Note 1	\$ 1,163,276	\$ 20,000	\$ -	\$ -	\$ -	0.00%	\$ 2,326,552	Y	N	N	

Note 1: The Company owns directly more than 50% voting shares of the endorsed/ guaranteed subsidiary.

Note 2: The relevant regulations for "endorsements/guarantees limit" of the Company are as follows:

(1)The endorsement and guarantee limit for a single enterprise, except for subsidiaries in which the Company directly or indirectly holds more than 50% of the common stock, shall not exceed 50% of the net worth.

For other cases, it shall not exceed 10% of the net worth.

(2)The total amount of endorsements and guarantees provided by the Company to external parties shall not exceed 100% of the net worth.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures)
September 30, 2025

Table 3

Expressed in thousands of NTD / foreign currency / shares
(Except as otherwise indicated)

Securities held by	Marketable securities	Relationship with the securities issuer	General ledger account	As of September 30, 2025				Footnote
				Number of shares	Book value	Ownership	Fair value	
The Company	Private equity fund	-	Financial assets at fair value through profit or loss- non-current	-	\$ 34,990	3%	\$ 34,990	

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Information on investees
Nine months ended September 30, 2025

Table 4

Expressed in thousands of NTD / shares
(Except as otherwise indicated)

Investor	Investee	Location	Main business activities	Initial investment amount		Shares held as at September 30, 2024			Net profit (loss) of the investee for the years ended September 30, 2025	Investment income (loss) recognised by the Company for the years ended September 30, 2025		Footnote
				Balance as at September 30, 2025	Balance as at December 31, 2024	Number of shares	Ownership (%)	Book value				
The Company	JOCHU BVI	British Virgin Islands	Investment holding	\$ 1,262,804	\$ 1,149,099	40,464	100%	\$ 1,685,733	\$ 5,828	\$ 6,117		
The Company	LEGIUN	Taiwan	Sales of medical devices	80,000	80,000	8,000	100%	23,946	(7,584)	(7,707)		
The Company	eBIO INTERNATIONAL CO., LTD.	Taiwan	Investment holding	113,102	71,114	17,994	75.49%	47,473	(3,361)	(3,450)		
JOCHU BVI	JOCHU GLOBAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	371,025	13,478	13,478		
JOCHU BVI	PIH	Singapore	Investment holding	609,961	496,256	20,248	65%	423,026	(101,037)	(65,674)		
JOCHU GLOBAL	JOCHU INTERNATIONAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	371,025	13,477	13,477		
PIH	JOCHU VIETNAM	Vietnam	Production and sales of optoelectronic components, stamping molds, and related international trading business	933,313	758,383	Not applicable	100%	649,580	(100,661)	(100,661)		
eBIO INTERNATIONAL CO., LTD.	eBIO TECHNOLOGY INC.	Taiwan	Research and development, manufacturing of medical electronic devices, biomedical sensors, and integrated design services for healthcare systems.	113,071	101,071	18,027	100%	8,154	(3,175)	(3,175)		

Table 4

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Information on investments in Mainland China
Nine months ended September 30, 2025

Table 5

Expressed in thousands of NTD / foreign currency
(Except as otherwise indicated)

Investee in Mainland China	Main business activities	Paid-in capital	Investment method (Note 1)	Accumulated amount of remittance from Taiwan to Mainland China as of January 1, 2025	Amount remitted from Taiwan to Mainland China/ Amount remitted back to Taiwan for the year ended September 30, 2025	Accumulated amount of remittance from Taiwan to Mainland China as of September 30, 2025	Net income of investee for the year ended September 30, 2025	Ownership held by the Company (direct or indirect)	Investment income (loss) recognised by the Company for the year ended September 30, 2025 (Note 2)	Book value of investments in Mainland China as of September 30, 2025	Accumulated amount of investment income remitted back to Taiwan as of September 30, 2025	Footnote
SUZHOU JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	\$ 569,170	2	\$ 367,541	\$ - \$ -	\$ 367,541	\$ 57,991	100%	\$ 57,991	\$ 890,492	\$ 1,907,779	Note 2(2)B
XIAMEN JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	451,775	2	328,912	- -	328,912	20,215	100%	20,215	556,500	692,751	Note 2(2)B

Company name	Accumulated Outward Remittance for Investments in Mainland China as of September 30, 2025	Investment Amount Authorised by the Investment Commission, MOEA	Upper Limit on the Amount of Investments Stipulated by the Investment Commission, MOEA (Note 3)
The Company	\$ 696,453	\$ 862,275	\$ 1,535,941

Note 1: Investment methods are classified into the following three categories; fill in the number of category each case belongs to:

- (1) Directly invest in a company in Mainland China.
- (2) Through investing in an existing company in the third area, which then invested in the investee in Mainland China.
 - A. Invested through Jochu Investment Ltd.
 - B. Invested 66.67% by Jochu International (Cayman) Ltd. and 33.33% by Suzhou Zhou Qiao Precision Metal Co., Ltd., totaling 100%.
- (3) Others

Note 2: In the 'Investment income (loss) recognised by the Company for the year ended September 30, 2025' column:

- (1) It should be indicated if the investee was still in the incorporation arrangements and has not yet generated any profit during this period.
- (2) Indicate the basis for investment income (loss) recognition in the number of one of the following three categories:
 - A. The financial statements were audited by international accounting firm which has cooperative relationship with accounting firm in R.O.C.
 - B. The financial statements were audited by R.O.C. parent company's CPA.
 - C. Others.

Note 3: According to the new regulations issued by the Investment Review Committee of the Ministry of Economic Affairs in August 2009, the calculation method of the investment limit for the mainland area is the net value or 60% of the combined net value, whichever is higher.